QRAA Annual Report
2009-2010

BROADENING
OUR
FOCUS

QRAA
Queensland Government

To the Minister

30 September 2010

The Honourable Tim Mulherin MP
Minister for Primary Industries, Fisheries
and Rural and Regional Queensland
GPO Box 46
Brisbane Qld 4000

Dear Minister

I am pleased to present the Annual Report 2009-2010 for QRAA.

I certify that this Annual Report complies with:

- the *Rural and Regional Adjustment Act 1994*
- the prescribed requirements of the *Financial Accountability Act 2009* and the *Financial and Performance Management Standard 2009*, and
- the detailed requirements set out in the Annual Report Requirements for Queensland Government Agencies.

This report is submitted on behalf of the Board of QRAA and highlights the accomplishments QRAA has achieved during the year and the effort and commitment demonstrated by all staff in assisting Queensland's rural and regional communities.

QRAA and the Board value your support and look forward to working with you in the future.

Yours sincerely

Graham Davies

Graham Davies
Chairperson, QRAA

Contents

Welcome

Welcome to the Annual Report 2009-2010 for QRAA. This report summarises our corporate performance during 2009-2010 and is an integral part of QRAA's corporate governance framework.

The communication theme for the report is 'Broadening our focus' which is a continuation of the theme from the past two years. Throughout the year, QRAA has achieved results based upon implementation of strategic priorities that have provided the basis for growth and the broadening of scope of our business.

This report is developed in accordance with legislative reporting obligations and enables the Queensland Parliament, through the Minister for Primary Industries, Fisheries and Rural and Regional Queensland, to assess our financial and operational performance.

Our aim is to provide a comprehensive annual report that meets the needs of our stakeholders and we welcome your feedback on this report.

If you have difficulty in understanding the annual report, please contact us on Freecall 1800 623 946 as we will arrange an interpreter to effectively communicate the report to you.

Contact details:

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A copy of this annual report is available at www.qraa.qld.gov.au.
A checklist outlining the annual reporting requirements can be accessed at www.qraa.qld.gov.au

Highlights

The 2009-2010 year saw QRAA operate within the broadened scope of the *Rural and Regional Adjustment Act 1994,* which positioned the business for growth and expansion within Queensland and interstate.

QRAA fostered a more sustainable rural and regional sector in Queensland by administering more than $102 million in government financial assistance to primary producers and small businesses.

Priority 1. Cost leadership

- Developed and implemented a new business model to provide the overarching architecture for QRAA's operations.
- Implemented a cost recovery model to provide a basis for QRAA's operations.
- Implemented a whole-of-business financial forecasting model identifying future funding options and capital structures for QRAA.
- Identified cost reduction strategies across all business units.

Priority 2. Growth

- Queensland business expansion
- National business development

- Commenced administering three new programs.
- Analysed markets and established scope, opportunities and priorities to guide national business development.
- Established new market intelligence, stakeholder engagement, business development and program development frameworks.
- Established a new trading name (Agentis Australia) and associated branding.

Highlights...

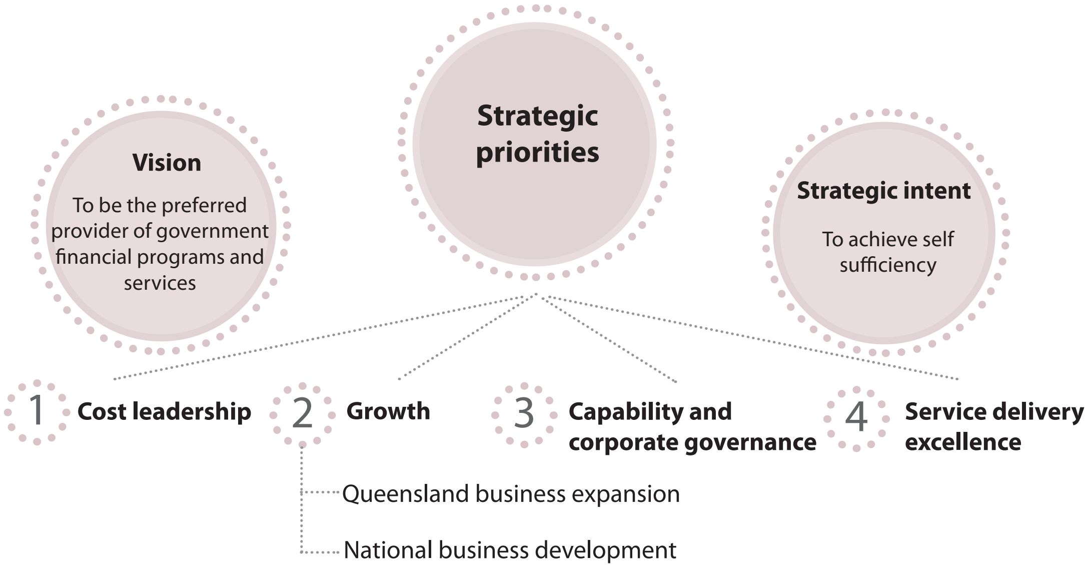
Priority 3. Capability and corporate governance

- Developed and implemented a strategic planning and performance framework consolidating existing planning, reporting and performance management activities.
- Developed and implemented a number of program delivery models including resourcing, program projections and application assessment processing.
- Developed and implemented organisational development and human resource frameworks to bring QRAA into closer alignment with best practice employee relations.

Priority 4. Service delivery excellence

- Approved more than $102 million (2,467 applications) in financial assistance in the form of loans, rebates, grants and subsidies to primary producers and small businesses.
- Approved 891 applications for Exceptional Circumstances Interest Subsidy Support, providing more than $31 million to Queensland primary producers and small businesses.
- Conducted a customer satisfaction survey which established that more than 86 per cent of customers were satisfied or very satisfied with our service.
- Achieved 95% target for on-time reporting obligations as specified in program administration agreements.
- Provided immediate support for flood-affected communities in South-West Queensland by participating in whole-of-government recovery coordination centres and establishing temporary offices to assist with customer enquiries and applications.
- Ensured a strong presence in regional Queensland by participating in more than 190 events across Queensland.

About QRAA



Our role and function

QRAA is a statutory authority of the Queensland Government established under the *Rural and Regional Adjustment Act 1994* (the Act), reporting to the Minister for Primary Industries, Fisheries and Rural and Regional Queensland.

QRAA's role is to provide specialist financial administrative services on behalf of the Commonwealth, State and Territory governments throughout Australia in accordance with the Act.

The scope of the Act was broadened in April 2008 to enable QRAA to administer:

- rural and regional based financial assistance schemes for the Commonwealth Government and other State/Territory Governments within Australia
- a wider range of financial assistance programs in Queensland, including those outside the traditional rural and regional sector.

Strategic framework

The QRAA Strategic Plan 2009–2013 provides a framework for the QRAA Board, management and staff as they work towards QRAA's vision to be the preferred provider of government financial programs and services.

QRAA's Strategic Plan identifies QRAA's strategic intent, which is to achieve self sufficiency through the strategic priorities of cost leadership and capability.

The following strategic priorities guided QRAA's direction over the year:

- cost leadership
- service delivery excellence
- growth
    - Queensland business expansion
    - national business development
- capability and corporate governance.

The strategic priorities are the underpinning factors allowing QRAA to expand into new markets and support emerging business while ensuring that the business remains sustainable.

Our strategic priorities encompass challenges and enable QRAA to better mitigate risks that have the potential to impact on the sustainability of our business and service offerings.

These strategic priorities also contribute to achieving the Queensland Government's 'Toward Q2' ambitions of:

Strong - creating a diverse economy powered by bright ideas
Green - protecting our lifestyle and environment
Smart - delivering world class education and training
Healthy - ensuring the health of all Queenslanders
Fair - supporting a safe and caring community.

A range of key performance indicators support these priorities and establish the framework to gauge QRAA's progress in achieving its goal.

QRAA operates within the Strategic Planning and Performance Framework which aligns strategic planning through to annual business unit operational plans and individual performance and development plans.

Our values

QRAA's operations are governed by its commitment to six core values:

- continual improvement (excellence in the delivery of high-quality, efficient, timely and responsive services)
- equity (consistency, fairness and transparency)
- integrity (accuracy, security and confidentiality of information supplied or obtained)
- responsibility (accountability to government, policy owners and the community)
- respect and recognition (recognition of the valuable contribution, creativity and dedication of staff)
- harmony and satisfaction (a safe, equitable and satisfying work environment).

The Chairperson and Chief Executive Officer's report

"During the year, we proactively engaged with existing program owners and successfully secured three new programs to administer."

Graham Davies, Chairperson of QRAA Board

Above L-R: QRAA Chief Executive Officer, Colin Holden and Chairperson of QRAA Board, Graham Davies

The year in focus

In 2009-2010, QRAA focused on positioning our business for growth and engaging with our stakeholders, policy owners and customers.

Through the administration of financial services on behalf of the Commonwealth and Queensland Governments, we contributed to fostering the development of a more productive and sustainable rural and regional Queensland.

We contributed to the Queensland Government's Towards Q2 ambitions through the implementation of new strategic priorities – cost leadership, service delivery excellence, growth - national business development, Queensland business expansion, and capability and corporate governance.

These priorities are the pillars that will enable us to achieve our strategic intent of becoming self sufficient.

Our financial position

QRAA plays a significant role in delivering government financial services and over the past ten years has received in excess of 70,000 applications. Record amounts in the order of $1,458 million has been approved with some of the highlights being:

- Emergency Assistance Loans: $23.3m
- Productivity Loans: $292.9m
- Natural Disaster Relief and Recovery Assistance: $214.8m
- Exceptional Circumstances Interest Subsidies: $465.6m.

Broadened scope

During the year, QRAA operated within the broadened scope of the *Rural and Regional Adjustment Act 1994* which enables us to look at new markets in Queensland and interstate. The implementation of our strategic priorities placed QRAA in a position to stimulate demand for our services in new markets and encouraged growth in our core rural and regional Queensland sector.

The development of a new business model complements our strategic priorities and provides the overarching architecture for the structure of QRAA's operations. The model, which is driven by cost leadership, enables QRAA to provide high quality program delivery services while being responsive to emerging market issues and unexpected natural disasters. With this model we are well positioned to achieve our intent of self sufficiency in times of economic uncertainty and climate variability.

Our differential service offerings further enhance the scope of our business strengthening our overall financial and administrative position.

Positioning our business

During the year QRAA explored opportunities to administer programs on a national level. QRAA met with a number of Commonwealth Government departments and interstate counterparts to discuss business opportunities and avenues for QRAA to assist with business operations.

To mark QRAA's entry into the interstate and national markets, we facilitated the development of a new trading name (Agentis Australia) and associated brand. Agentis Australia will utilise QRAA's existing infrastructure and resources but will have its own identity for use in new markets.

Our stakeholders

Stakeholder engagement is a fundamental part of QRAA's business, supporting planning, operations and growth. During the year, we proactively engaged with existing program owners and successfully secured three new programs to administer.

As part of the business expansion plans, targeted engagement and communication campaigns were implemented with potential program owners in Queensland and interstate.

Energy was also expended on maximising opportunities to proactively communicate with public and private sector stakeholders who have interest in or can influence QRAA's business.

Our customers

We provide high level service to our customers and in the 2009-2010 market research survey, we achieved 82.7 per cent awareness amongst primary producers and 86.2 per cent satisfaction from primary producers and small business clients.

Our regional client liaison officers and Brisbane-based customer service officers attended to more than 12,300 phone calls on our Freecall number.

> 'The commitment of our staff during the re-positioning of the organisation must be commended.'

QRAA representatives also participated in more than 190 rural and regional events, forums and seminars.

We also presented at a number of special internet 'webinars' which allowed us to engage with rural producers online and in real time. The QRAA website was updated to enable more effective communication and engagement with customers.

QRAA established and staffed 15 temporary offices at various locations across South West, Far West and Far North Queensland to assist customers with applications for flood and drought assistance.

Our regional staff participated in eight government 'one stop shops' across South West Queensland to assist communities recover from the March monsoonal flooding. Four follow up visits to this region were undertaken during Primary Industries week.

Our service

QRAA performed strongly in 2009-2010 approving $102 million worth of financial assistance on behalf of the Commonwealth and Queensland Governments.

2,467 applications were approved for primary producers and small business owners to assist with natural disaster recovery or to improve the sustainability/viability of their operations.

We met our growth target for the year, administering three new programs:

- Special Disaster Flood Assistance (March 2010)
- Regrowth Vegetation Clearing Financial Hardship Assessment
- Special Disaster Flood Assistance - Tropical Cyclones Charlotte and Ellie

QRAA approved 828 grant applications at more than $5.59 million under the Special Disaster Flood Assistance (March 2010) program and received very positive feedback from within government and from a number of producers in relation to our response.

Our staff

The commitment of our staff during the re-positioning of the organisation must be commended. The processing of 2,467 application approvals during the year is a credit to the dedication and experience of staff who strive to achieve excellence in service delivery. We would like to express our thanks to our staff for their efforts in achieving a great result for the year.

Board of Directors

We would like to thank the Minister for Primary Industries, Fisheries and Rural and Regional Queensland, the Hon. Tim Mulherin, MP, and the Board of Directors for their support and direction.

The Board undertook three regional visits during the year and were able to see firsthand the impact of years of prolonged drought followed by significant flooding.

This shows the Board's commitment to engaging with our customers and gaining insight into current issues facing regional producers and small business owners.

In November, the Board welcomed the appointment of Mr Wayne Carlson, who - with his wealth of rural financial knowledge - adds to our capacity to meet expansion plans. Mr Carlson's appointment follows the expiration of Ms Annie Pfeffer's current term and we thank Annie for her service to the Board since 2003.

Future focus

In 2010-2011, we will continue to provide service delivery excellence to our customers and program owners and will review operations and infrastructure to increase core skills, efficiency and quality.

We will continue to maintain a strong presence in Queensland by seeking to administer a wider range of financial assistance programs on behalf of the Queensland Government.

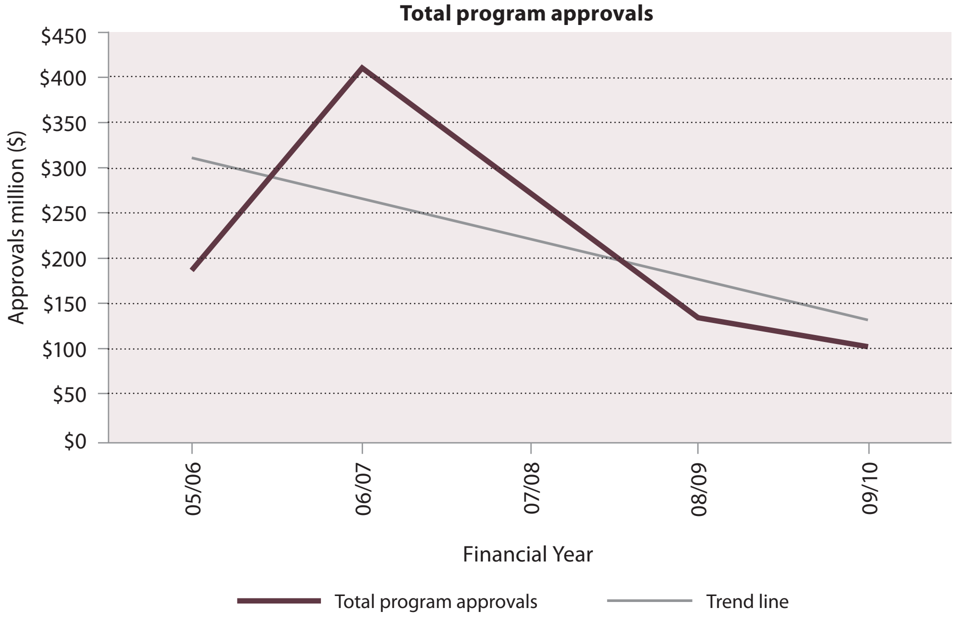
To ensure that our business remains sustainable we will look to emerging business opportunities and actively embrace opportunities to meet market demands.

We will look to add further value through the research and analysis of economic conditions relating to rural industries.

Through our new business model, we will demonstrate cost leadership ensuring efficiency and effectiveness in outcome delivery for government.

As we move forward, we are excited by the opportunities to work with the Queensland, Commonwealth and State Governments to foster the development of even more productive rural and regional sectors.

Total program approvals



Note: The 2006-2007 spike was attributable to the administration of the Vegetation Management Framework Structural Adjustment Package, Great Barrier Reef Marine Park Structural Adjustment Package and Tropical Cyclones Larry and Monica assistance.

Graham Davies
Chairperson

Colin Holden
Chief Executive Officer

Board of Directors

Pictured L-R: QRAA Board members Matthew Hood, Wayne Carlson, Alan Tesch, Joy Cooper, Richard Stevens, Sue Ryan and Graham Davies (Chairperson - seated).

Profiles

Graham Davies – Chairperson
Chairperson since December 2000

As Chairperson of the QRAA Board, Graham is responsible for reporting to the Minister on the performance of QRAA's functions. Graham was also Chairman of the Mackay Port Authority until 30 June 2009 and is now a Director of North Queensland Bulk Ports. He also sits on the Board for the Cerebral Palsy League of Queensland.

Graham was previously Chairman of the Board for Mackay Sugar Cooperative Association Limited for 16 years and has over 40 years experience as a non-executive director on sugar industry boards, together with various companies and cooperatives. A Mackay district canegrower for 40 years, Graham owns and operates property in the Mackay and Burdekin districts.

Wayne Carlson
Director since December 2009

Wayne Carlson brings to the Board 35 years experience in the banking and finance sector. Rural and Agribusiness industries have been the focus of his career with the National Australia Bank as he served in management and senior management roles across the length and breadth of Queensland.

He was appointed General Manager, NAB Agribusiness in 2005 where he held responsibility for the administration of this business across Australia. He played key roles in development and implementation of network structure, strategic initiatives, policy, planning and budget control, product innovation, human resource management and service delivery.

Joy Cooper
Director since February 2005

Joy Cooper is a professionally qualified accountant with over 30 years experience, mainly in Queensland's electricity supply industry. She has held senior financial and management positions within Ergon Energy and its predecessor organisations in Mackay.

Joy has considerable experience with audit and risk management committees in both the superannuation and electricity industries and currently uses this experience in her role as an independent adviser to the Audit and Compliance Committee of an industry superannuation fund.

Matthew Hood
Director since September 2005

Matthew Hood is a primary producer from Gatton, focusing on small crop production. He is part of a family business, which has production areas in Lowood, Fernvale, Clifton, Stanthorpe, Bowen, Ayr, and the Northern New South Wales region and the business also runs cattle and dry land grain farms.

Matt was previously a Civil Engineer before returning to the land approximately fifteen years ago. He has been involved in a number of industry committees and companies during this time, particularly those relating to export and water management issues. Matt is currently a Director of Fresh Force Pty Ltd and Rugby Farms Pty Ltd.

Annie Pfeffer
Director from December 2003 to December 2009

Annie Pfeffer is a Director of Condamine Alliance. She has also served as President of the Australian Sunflower Association, has been an executive member of Australian Oilseeds and a Director of Grainco.

In 2005, Annie was recognised for her achievements in Queensland's primary industries and awarded the AWB Jason Rae Memorial Grains Achiever Award. Annie has completed the Australian Rural Leadership program.

Sue Ryan
Director since August 2004

Sue Ryan is currently the Chief Finance Officer for the Department of Employment, Economic Development and Innovation. Sue has extensive experience in banking, finance and public administration. Sue holds a Bachelor of Business degree and worked in the banking industry for 17 years before joining the Queensland Public Service in 1992.

Sue's previous role as Associate Director-General within Queensland Primary Industries and Fisheries was to accelerate growth in Queensland's primary industries by promoting investment opportunities and fostering a competitive business environment. Sue also had a pivotal role in providing policy advice for animal and plant industries and developing strategies which maximise profitability and productivity for a range of industries.

Richard Stevens OAM
Director since July 2005

Richard Stevens brings to the Board, expertise in fisheries management having over 30 years experience in this industry. He is currently a Commissioner of the Australian Fisheries Management Authority and a Board Member of the Fisheries Research and Development Corporation.

Richard was Director of Fisheries in South Australia from 1980 to 1987, Managing Director of the Australian Fisheries Management Authority from 1992 to 1998 and Deputy Chief Executive of Primary Industries and Resources South Australia from 1998 to 2000.

Alan Tesch
Director since December 2003

Alan Tesch is the Associate Director-General of the Department of Transport and Main Roads, and has been the Chief Executive of Main Roads since 2005. Before that Alan worked variously at Queensland Transport and Queensland Treasury.

He was Assistant Under Treasurer with Queensland Treasury for eight years, where he had responsibility for overseeing and delivering economic policy and State Government finances, budget and taxation.

Alan holds a number of board positions and directorships including Queensland Motorways Limited, Austroads, Roads Australia and ARRB Group, and brings public policy, financial and technical skills to the Board.

	Board meetings		Audit and Risk Management Committee meetings		Remuneration Committee meetings		Strategic planning workshop	
	Eligible to attend	Attended	Eligible to attend	Attended	Eligible to attend	Attended	Eligible to attend	Attended
Graham Davies	9	9	6	5	1	1	1	1
Wayne Carlson*	4	4	-	-	-	-	-	-
Joy Cooper	9	9	6	6	1	1	1	1
Matthew Hood	9	6	6	4	-	-	1	-
Annie Pfeffer**	5	5	-	-	-	-	1	1
Sue Ryan	9	6	-	-	-	-	1	-
Richard Stevens	9	7	-	-	-	-	1	1
Alan Tesch***	9	4	6	3	-	-	1	-

** Wayne Carlson appointed in December 2009. ** Annie Pfeffer's term expired in December 2009. *** Alan Tesch was unable to attend a number of Board and Committee meetings due to illness.*

Organisational structure

Minister for Primary Industries, Fisheries and Rural and Regional Queensland

QRAA Board of Directors

Colin Holden
Chief Executive Officer

Tony O'Dea
General Manager
Program Delivery Services

Program Delivery Services manage the processing of application assessments and decision-making, loan account management, loan securities and customer relations. Program Delivery Services encompasses the following business units:

- Account management
- Customer relations
- Program delivery
- Securities

Peter Weekes
General Manager
Corporate Strategy and Support

Corporate Strategy and Support drives organisational development initiatives and services and manages corporate systems, infrastructure and policies. Corporate Strategy and Support core functions include:

- Business development and marketing
- Corporate governance and planning
- Finance
- Human resources services
- Information services
- Performance and reporting

Organisational structure

> QRAA streamlined its organisational structure early in the financial year...to allow better coordination and service delivery.

Our organisation

QRAA streamlined its organisational structure early in the financial year to reduce the number of divisions from five to two to allow better coordination and service delivery. The two divisions are:

- Program Delivery Services

- Corporate Strategy and Support

The streamlined structure and realignment of business units along with five new leadership appointments has allowed for improved strategic leadership at a time when QRAA's strategic direction is changing.

Five new business units have been restructured to allow for growth in business operations. In total, seven new positions have been created across the organisation.

Corporate Strategy and Support

QRAA's corporate services has been strengthened by aligning finance, human resources services and information services under the banner of the new Corporate Strategy and Support division. This division also encompasses three new business units: Corporate Governance and Planning; Business Development and Marketing; and Performance and Reporting.

The Corporate Strategy and Support division develops and manages QRAA's systems, infrastructure and policies in the areas of finance, human resources and information services. It facilitates planning, performance improvement and strategic communications and business development.

Program Delivery Services

Program Delivery Services delivers financial assistance programs that support the profitability and sustainability of the rural and regional sector. Program Delivery Services also delivers programs in response to emergencies and natural disasters and fosters strong relationships with community and industry. This division includes a new business unit - Customer Relations and a new support team - Program Delivery Support.

Realigned business units

QRAA's existing workforce functions were restructured during the year to provide for alignment of functions and skills which underpin the organisations business operations.

Customer Relations: QRAA's commitment to customer service is demonstrated through the establishment of the Customer Relations unit. This unit aims to provide efficient and consistent service delivery to program customers and develops improved initiatives for increased customer awareness and satisfaction. The unit consists of eight regional Client Liaison Officers and Brisbane-based Customer Service Officers and Field Officer who are overseen by the Manager Customer Relations.

Program Delivery Support: This unit provides dedicated support to Program Delivery Services and undertakes activities such as registration of loans, grants and appeals, annual review batching, payment of grants, application and review correspondence, creation and maintenance of customer details, scanning and culling of correspondence and mail receipt and delivery.

Corporate Governance and Planning: This unit develops QRAA's corporate governance frameworks and associated supporting documents. QRAA is committed to establishing an organisational philosophy and culture that ensures effective corporate governance. The establishment of this unit has provided a hierarchy of governance structures and a framework for achieving organisational outcomes.

Business Development and Marketing: Responsible for the development and implementation of business development and marketing strategies, this unit provides high quality analysis, advice and leadership regarding business development and marketing. The unit manages the corporate positioning of QRAA and enhances customer relationships by proactively identifying, developing, implementing and evaluating communication policies, strategies, standards, products and services.

Performance and Reporting: This unit is responsible for the provision of reports, information, data and advice associated with program administration performance. The unit also provides database administration, data management and analysis, and forecasting and modelling services.

Corporate governance

The Board

Accountability

QRAA's Board of Directors is formally accountable to the Minister for Primary Industries, Fisheries and Rural and Regional Queensland for the performance of the organisation.

Role

The Board's principal function is to ensure QRAA's established goals and strategic direction are developed, implemented and managed. Consequently, the Board is primarily responsible for how QRAA performs its functions and exercises its powers.

The Board's role includes:

- setting strategies and operational, administrative and financial policies
- ensuring QRAA performs its functions properly, effectively and efficiently
- annually reviewing the performance of QRAA's Chief Executive Officer.

Although the Board seeks input from industry bodies, other government agencies and the wider public, the Board has control of and accepts full responsibility for policy formulation.

Composition

The Board consists of seven directors, including representatives for the Department of Employment, Economic Development and Innovation, Queensland Treasury and industry.

Duration of appointment

Directors are appointed for a term no longer than three years. This appointment can end at any time as directed by the Governor in Council.

Conditions of appointment

A director is appointed on a part-time basis and is entitled to the remuneration and allowances fixed by the Governor in Council.

Board meetings

Under the Act, the Board must meet at least once every three months and the Chairperson may at any time call a Board meeting. The Board held a number of meetings in regional Queensland to provide directors with an opportunity to visit local industries and QRAA customers. The Board met 10 times over the past 12 months for board meetings, workshops and strategic planning sessions.

Measuring performance

The Remuneration Committee and the Board periodically review the performance of QRAA's Chief Executive Officer and other senior executives. Each year, performance goals and strategic targets are established as a result of the Board's strategic planning and budgeting process and are subsequently subject to endorsement by the Minister for Primary Industries, Fisheries and Rural and Regional Queensland. Organisational performance is monitored and reported against objectives and targets as set out in QRAA's Strategic Plan.

Managing business risk

QRAA closely manages its exposure to significant business risk and has policies and procedures in place with respect to financial risk, crisis management, health and safety and the environment.

Interaction with management

Senior management provides regular feedback to the Board regarding QRAA's activities and performance and provides support for the Board in various areas.

Board committees

The Board has two sub-committees that support its decision-making, with each having a defined charter. These committees are the Audit and Risk Management Committee and the Remuneration Committee.

Audit and Risk Management Committee

The Audit and Risk Management Committee consists of three directors, Joy Cooper (Chairperson), Alan Tesch and Matthew Hood, with the Chairperson and Chief Executive Officer attending as ex-officio members. The Committee met six times during 2009-2010.

The Committee undertakes independent reviews to improve QRAA's operations and outputs and advises the Board on:

- internal and external audit recommendations
- due diligence
- systems and internal controls
- accounting policies and financial and operational reporting
- budgets and financial forecasts
- credit risk policy
- insurance
- compliance with policies
- financial statements
- adoption of corporate governance principles.

Remuneration Committee

The Remuneration Committee includes two directors and meets annually, with the Chief Executive Officer attending as an ex-officio member. As part of the budget process, the Committee reviews and advises the Board on the performance of senior management by means of a remuneration review. Members of this Committee are Graham Davies (Chairperson) and Joy Cooper.

Code of conduct

QRAA requires all directors, management and employees to act with integrity and objectivity and maintain high standards of ethical behaviour in the execution of their duties. The QRAA Code of Conduct requires officers to:

- perform their duties with diligence, professionalism and integrity so as to effectively and efficiently serve their customers and the general public
- always act fairly and equitably, including during interaction with the general public and other QRAA staff
- show respect for the law and for other people
- avoid real or apparent conflicts of interest.

During 2009-2010, a number of QRAA policies and procedures were reviewed and implemented that enhance the QRAA Code of Conduct as well as strengthen compliance with the *Public Sector Ethics Act 1994*. These policies addressed topics such as anti-discrimination and harassment and disciplinary action. The QRAA Code of Conduct and all policies and procedures are promoted regularly and are available to staff on the QRAA intranet.

Governance

Right to information and information privacy

From 1 July 2009, the *Right to Information (RTI) Act 2009* and the *Information Privacy Act 2009* came into effect, replacing the *Freedom of Information Act 1992*. The introduction of the *Information Privacy Act 2009* repeals Information Standard 42 – Information Privacy. The Right to Information provides the community greater access to the information. QRAA is committed to releasing as much information as possible and provides access to information, in accordance with the legislation, as well as published information available on the QRAA website.

During 2009-2010, QRAA processed thirteen requests for access of information all of which were processed in accordance with the *Information Privacy Act 2009*. Due to the nature of the requests and the applicants requesting the information, no requests were received within the RTI, therefore QRAA was not required to provide a disclosures log.

Information systems and recordkeeping

Information systems and recordkeeping are an important part of QRAA's management of the application and assessment processes for both the program owners and customers receiving loans, grants or rebates. Information systems and recordkeeping are managed in accordance with the *Public Records Act 2002* and other key information standards, policies and guidelines that form the Queensland Government Recordkeeping Policy Framework.

Whistleblower protection

The *Whistleblowers' Protection Act 1994* is in place to protect QRAA employees who disclose any information relating to danger to public health and safety, danger to the environment, or unlawful or improper conduct that affects QRAA. There were no public interest disclosures during the year.

Workplace health and safety

QRAA is committed to maintaining a healthy and safe workplace and is bound by the *Workplace Health and Safety Act 1995*, *Workplace Health and Safety Regulation 1997* and relevant codes of practice.

All QRAA employees are provided with training in how to perform their work safely and without risk to their own or others' health and safety. New employees are informed about the Act through an induction program while QRAA's workplace health and safety officers, workplace rehabilitation officers and first aid attendants are provided with necessary training to ensure they carry out their duties as required by the Act and QRAA.

Risk management

During 2009-2010, the QRAA Board endorsed the risk management framework which saw the adoption of the framework, guidelines and risk management policy.

This suite of documents ensures employees have a thorough understanding of the organisation's expectations regarding risk management responsibilities.

The risk management framework includes the creation of a risk management reference group.

The primary role of the risk management reference group is to assist the Senior Executive Team and the Audit and Risk Management Committee to:

- promote and further develop the risk management framework throughout QRAA to foster a culture of risk management
- review and consider the requirements and issues raised applicable to legislation, standards and guidelines.
- effectively manage, monitor and review the organisation's strategic and operational risk exposures
- identify risks and opportunities that QRAA may encounter and develop appropriate action plans to manage those risks and opportunities.

The Strategic Risk Register 2009-2010 was subsequently approved by the Audit and Risk Management Committee and the QRAA Board.

The strategic risk register is reviewed on a quarterly basis and submitted to the QRAA Audit and Risk Management Committee and the QRAA Board.

Policy framework

During 2009-2010, QRAA strengthened its focus on the development and review of its corporate policies and procedures to ensure compliance with legislation and government directives, audit outcomes and best practice. In July 2009, the Senior Executive Team endorsed the overarching QRAA policy framework.

The framework describes the process for development, consultation, endorsement and implementation of corporate policies and procedures.

During 2009-2010, an audit was undertaken of the existing corporate policies and procedures and a gap analysis performed to develop a three year cyclical work plan for the development and review of all corporate policies and procedures.

A number of key policies and procedures were approved by the Senior Executive Team and submitted to the QRAA Board of Directors. These approved policies were then implemented throughout QRAA through education and training, monitoring and review mechanisms.

Carbon management

During 2009-2010, QRAA developed a Strategic Carbon Management Plan with the aim of helping to reduce Queensland's carbon footprint. The Strategic Carbon Management Plan provides strategic directions and related actions that QRAA plans to implement for the purpose of reducing the environmental impact of the organisation. The action plan for 2009-2010 highlights specific actions that business units within QRAA will undertake to address strategies relating to energy savings, reducing use of resources and waste production and enhancing reporting initiatives.

Strategic planning and performance framework

QRAA undertakes its annual organisational strategic planning, reporting and performance measurement processes in accordance with the QRAA Strategic Planning and Performance Framework. This framework is in alignment with whole-of-government budget and reporting frameworks and timeframes.

The QRAA Strategic Plan 2009-2013 has a four year strategic focus and provides the framework for the QRAA Board and staff as they work towards achieving QRAA's vision to be the preferred provider of government services.

During 2009-2010, QRAA's high level strategies focused on cost leadership, service delivery excellence, growth both in Queensland business expansion and national business development, and capability and corporate governance.

Operational Plans for 2009-2010 were prepared by each of QRAA's business units. Strategies and key activities were identified that aligned to the QRAA Strategic Plan 2009-2013 and contribute to the achievement of QRAA's strategic priorities.

Legislative reviews

Rural and Regional Adjustment Act

A review of the *Rural and Regional Adjustment Act 1994* commenced in early 2010 with the Department of Employment, Economic Development and Innovation (DEEDI) calling for submissions from government and industry.

QRAA looks forward to the outcome of this review including improvement opportunities which provides QRAA with greater flexibility and capacity to meet market demands. The outcome of the review is due to be released in 2010-2011.

Rural and Regional Adjustment Regulation 2000

A review of the *Rural and Regional Adjustment Regulation 2000* commenced in mid 2010 as part of the legislative requirement to review Regulations every ten years. The review was undertaken by DEEDI in consultation with QRAA, government stakeholders and industry. The review will consider issues such as conformity with the Act, expired schemes and best practice drafting principles. It is likely any amendments to the Regulation will be made in 2010-2011.

Performance FOCUS

Performance indicators

INDICATORS	2009-2010 TARGET/ ESTIMATE	2009-2010 ACTUAL	OUR PERFORMANCE	COMMENTARY
Arrears to loan portfolio	3%	0.8%	ACHIEVED	QRAA continues to perform effectively in keeping loan arrears well within the established target of 3%. This result is the combination of sound lending decisions and good account management.
Client satisfaction with QRAA's services	80%	86.2%	ACHIEVED	Based on the results of a survey conducted in June 2010, satisfaction amongst primary producer and small business clients exceeds the established target of 80% and compares favourably to results achieved in the previous survey in 2007-2008.
Program owner satisfaction with QRAA's administration	New measure	New measure		Program owner satisfaction is a new measure that is under development. It is expected that the first results will be available in 2010-2011.
Applications processed within standard response indicators	85%	66.6%	NOT ACHIEVED	Loans were processed in accordance with established timeframes with an actual result for 2009-2010 of 86.3%. However, the overall processing of grant applications was impacted by the high volume of Exceptional Circumstances applications received in 2008-2009 which had a flow on effect into 2009-2010. The volume of Special Disaster Flood Assistance (Tropical Cyclones Charlotte and Ellie) applications received in July and August 2009 contributed to the result.
Awareness of QRAA in Queensland	80%	82.7%	ACHIEVED	Based on the results of a survey conducted in June 2010, there is a high degree of awareness of QRAA among Queensland primary producers. This result can be attributed to QRAA's regional presence, effective promotional campaigns and strong industry relationships.
Growth of productivity loan portfolio	7%	10%	ACHIEVED	A 120% increase in productivity loan approvals during 2009-2010 has contributed to a productivity loan portfolio growth rate of 10% which well exceeds the 7% target.
New programs administered	3	3	ACHIEVED	QRAA commenced administering three new programs in 2009-2010 achieving the target set for growth.

ACHIEVED NOT ACHIEVED

Performance summary

QRAA's strategic priorities guided organisational performance throughout the year. At the end of the 2009-2010 financial year, we reviewed our achievements against these priorities and the identified objectives below.

Our overall performance saw QRAA approving more than $102 million (2,467 applications) in government financial assistance in the form of loans, rebates, grants and subsidies to primary producers and small businesses.

OUR PRIORITIES	OUR OBJECTIVES	OUR ACHIEVEMENTS	OUR PERFORMANCE
1. Cost leadership	Implement continuous business improvement initiatives including the business process review recommendations	• Developed and implemented a new business model including the recommendations from the business process review • Implemented a cost recovery model for QRAA's business • Implemented a whole-of-business financial forecasting model • Identified organisational wide cost reduction initiatives achieving a reduction in costs of more than $160,000 • Developed a contracts register and review system	●
	Review program tender framework	• Developed a tender response framework to guide tender submissions for new business	●
2. Growth **Queensland business expansion**	Explore emerging opportunities for growth and QRAA product/ service diversification	• Commenced administering three new schemes: - Special Disaster Flood Assistance (March 2010) - Vegetation Re-growth Clearing Financial Hardship Assessment - Special Disaster Flood Assistance (Tropical Cyclones Charlotte and Ellie) • Analysed markets and established scope, opportunities and priorities to guide growth strategies	●
	Review and implement a business development framework	• Established and implemented market intelligence, business development and program management frameworks	●
	Review and implement stakeholder relationships plans for government, industry and potential business alliance opportunities	• Established a stakeholder engagement framework • Implemented proactive stakeholder engagement activities • Established stakeholder engagement and relationship management database	●
	Develop effective Queensland marketing strategies and implement targeted marketing campaigns	• Achieved awareness level of 82.7 % within core primary producer target market • Developed and implemented program promotional campaigns to support the Special Disaster Flood Assistance (Tropical Cyclones Charlotte and Ellie and March 2010) Schemes • Developed and implemented program promotional campaigns to support the Exceptional Circumstances program • Specific marketing/communication campaigns undertaken to support the Productivity Loan program	●
	Identify existing competitors and potential new entrants to the administration of programs and develop defensive strategies	• Competitor analysis undertaken to inform development of market intelligence, business development and marketing strategies	●

OUR PRIORITIES	OUR OBJECTIVES	OUR ACHIEVEMENTS	OUR PERFORMANCE
National business development	Develop a national brand and value proposition for interstate business attraction	• Established a new trading name (Agentis Australia) and associated branding	Achieved
	Develop a business development framework for Australian Government and interstate markets	• Established and implemented market intelligence, business development and program management frameworks	Achieved
	Review program tender frameworks for interstate business	• Developed a tender response framework to guide submissions for interstate business	Achieved
	Identify target markets and explore strategic alliance opportunities	• Analysed markets and established scope, opportunities and priorities to guide national business development • Implemented market intelligence and business development frameworks • Proactively engaged with strategic alliance opportunities (e.g NSW Rural Assistance Authority)	Achieved
	Develop a marketing strategy and implement targeted marketing campaigns	• Developed and implemented awareness campaigns targeting Commonwealth and interstate markets	Achieved
3. Capability and corporate governance	Develop and implement effective strategic planning, operational planning and performance management frameworks	• Developed and implemented a Strategic Planning and Performance Framework • Developed a performance measures data dictionary • Developed and implemented program performance reporting models for specific programs	Achieved
	Develop and implement effective corporate governance, policy development and risk management frameworks	• Implemented and maintained a QRAA Policy Framework with a number of policies and procedures reviewed and approved • Approved the Risk Management Framework and developed and maintained the Strategic Risk Register	Achieved
	Develop and implement long term financial planning strategies and modelling capabilities aligned to strategic priorities	• Developed and implemented a number of program delivery models including resourcing, program projections and application assessment processing	Achieved
	Implement organisational development, human resource management and workforce planning strategies aligned to strategic priorities	• Identified strategies to address workforce surge capacity demands • Realigned Performance and Development Plans to strategic and operational plans • Reviewed and relocated payroll services function within Human Resources Services	Achieved
4. Service delivery excellence	Maintain and continuously improve standards of efficient and effective service delivery that meet the needs of program owners	• Achieved 95% target for on-time reporting obligations as specified in program administration agreements • Participated in whole-of-government recovery and information coordination centres in response to the March flood in South-West Queensland	Achieved
	Maintain and continuously improve standards of efficient and effective service delivery that meet the needs of program customers	• Established 15 temporary offices across South-West, Far-West and Far-North Queensland to assist customers with applications for drought and flood assistance • Received 86.2 per cent customer satisfaction levels	Achieved
	Maintain the sustainability of existing programs and explore enhancement opportunities	• Contributed to the review of the Primary Industries Productivity Enhancement Scheme • Liaised with agencies in relation to the future of Exceptional Circumstances assistance	Achieved

ACHIEVED NOT ACHIEVED

Priority 1 - Cost leadership

Business improvement initiatives

QRAA implemented a number of business improvement initiatives in 2009-2010 including the development of a new business model based on cost leadership.

Recommendations from the business process review undertaken in 2008-2009 were incorporated into each of QRAA's business unit operational plans with timeframes set for implementation. The majority of milestones were achieved during the 2009-2010 financial year.

All activities associated with the implementation of these recommendations focused on demonstrating cost leadership and ensuring efficiency and effectiveness in service delivery.

QRAA contracts register

QRAA established a contracts register in 2009-2010 consolidating all the details surrounding QRAA's corporate contracts for goods and services, including contracted rates for services, terms and conditions and expiration dates.

The development of this register has streamlined the processes for reviewing contracts and has resulted in cost savings. QRAA was able to collate a number of services to one arrangement, under a whole-of-government arrangement saving the organisation approximately $10,000 per annum.

Cost reduction strategies

Throughout 2009-2010, each of QRAA's business units committed to identifing cost reduction strategies for the unit and for the business.

A number of key strategies were identified, with initial savings of more than $160,000 across the organisation.

Cost recovery model

A Cost Recovery Model (CRM) was delivered for QRAA in early 2009 and commissioned in November 2009. The CRM acts as a decision-making tool for management as all program expenses and activities are allocated within the model on a quarterly basis. It is based on the full cost recovery concept, that is, all QRAA costs are allocated.

The CRM provides a basis for QRAA's cost leadership approach by :

- identifiying the full costs associated with administering different programs and schemes
- assisting in the pricing of future fee-for-service programs and schemes
- analysing the cost drivers and their respective influences on QRAA's activities.

The Finance business unit manages the CRM and is responsible for the dissemination of information derived from the CRM as well as for training staff in how to use the model.

Forecasting model

QRAA worked with Queensland Treasury Corporation in the development of a whole-of-business financial forecasting model in 2009-2010. This model identifies future funding options and capital structures for QRAA such as:

- funding review
- annual budgets
- rolling forecasts
- management reporting
- cash flow forecasting.

The model enables QRAA to perform regular review or assessment of:

- the impact of changing interest rates on customer loans and investment funds
- the impact of new loans and loan repayments on the loan portfolio with projections of likely future loan portfolio balances, enabling assessment of QRAA's potential to self-fund its business
- the profitability of each loan product
- the performance of borrowings against related loans
- operational cash flows
- funding scenarios for future operations i.e. debt, equity, or fund internally, and
- standard business measurement tools such as financial ratio analysis, breakeven analysis, cash flow analysis, trend analysis and sensitivity analysis.

Strategic Carbon Management Plan

QRAA developed a Strategic Carbon Management Plan for 2009-2010 detailing a range of activities that have scope for reducing operational costs and carbon emissions without compromising QRAA's business functions.

Electricity use, vehicle fuel, paper use and waste production have been identified as ways to achieve reductions from 2008-2009 (Table 1).

Table 1.

REDUCTIONS		
Activity	2008-2009	2009-2010
1. Electricity	$45,111	$35,950
2. Fuel	$66,340	$50,660
3. Security destruction removal	$1,500	$1,369
4. Paper	1,350 reams	1,040 reams

Priority 2 - Growth

2009-2010 saw QRAA operate within the broadened scope of the *Rural and Regional Adjustment Act 1994* which allows QRAA to administer:

- rural and regional based financial assistance schemes for the Australian Government and other State/Territory Governments within Australia (national business development)
- a wider range of financial assistance programs in Queensland, including those outside the traditional rural and regional sector (Queensland business expansion).

Expanding QRAA's scope and empowering the delivery of services outside Queensland is designed to support growth and strengthen QRAA's skills base and financial position.

Increasing access to QRAA's expertise, services and infrastructure improved continuity of work and allowed core skills and infrastructure to be maintained and enhanced.

Developing a viable fee for service customer base supplemented existing government funding, strengthened QRAA's overall financial position and sustained future growth.

A new and dedicated business development function was established in November 2009. This enabled critical frameworks, strategies, processes and tools to support growth and expansion activities to be developed and implemented.

Analysis on the potential 'market' for QRAA services established that the administration of assistance schemes is compartmentalised and government agencies generally have established instrumentalities and mechanisms for delivery of direct assistance. Natural competition exists between states with respect to jobs and investment and conventional procurement processes seeking competitive tenders from third parties are not uniformly applied.

This characterisation sets unique challenges for QRAA's business growth and expansion plans. It has required QRAA to review its capabilities and develop innovative strategies to identify potential opportunities, raise awareness of QRAA's service offering and ultimately secure new business. One major example of this is the establishment of a new trading name (Agentis Australia) (see page 20).

Queensland business expansion

Queensland remains QRAA's primary market with legislative commitment given that Queensland customers will not be compromised as a result of QRAA's expanded scope.

QRAA's established presence and capacity to administer schemes that benefit the Queensland economy as a whole (i.e. not just the rural and regional sector) confirms this as QRAA's priority market for growth and product /service diversification.

Growth targets

Growth targets were met with QRAA commencing administration of three new Queensland based schemes:

- Special Disaster Flood Assistance (March 2010)
- Regrowth Vegetation Clearing Financial Hardship Assessment
- Special Disaster Flood Assistance (Tropical Cyclone Charlotte and Ellie).

> 'Growth targets were met with QRAA commencing administration of three new Queensland based schemes.'

Marketing and market research

Marketing and communication campaigns implemented to support awareness of QRAA's new programs proved to be highly effective, with results of market research into customer awareness establishing an 82.7% awareness level among primary producers.

A market intelligence framework was established to maintain the flow of strategic information needed to identify potential expansion opportunities within Queensland. This included analysis of market opportunities, competitors, tender and forward procurements schedules, ongoing research, and media monitoring as well as proactive engagement of internal and external stakeholders.

Business development framework

A business development framework was developed incorporating mechanisms to record and track potential opportunities, analyse risk, guide pricing, support tender response and market QRAA's service offering.

Stakeholder relationships and perceptions were reviewed to inform strategies for effective engagement of internal and external stakeholders. The framework established incorporated engagement objectives, strategies and principles as well as an action plan and database to record and monitor stakeholder contact.

Program management frameworks were also established to support the timely and efficient establishment of commercial agreements and communication protocols with program owners. These frameworks also guided internal planning with procedures and templates established to support project planning, system set up, data capture and analysis, reporting and adherence to financial and audit requirements.

A structured monitoring and evaluation process was also established to identify improvement strategies, support service delivery excellence and organisational capacity building.

The establishment of these frameworks and strategies represent a significant achievement against QRAA's strategic priorities for growth covering both 'Queensland business expansion' and 'national business development' as outlined in the 2009-2013 Strategic Plan.

Priority 2 - Growth

Agentis Australia

To support QRAA's expansion plans, a new trading name - Agentis Australia - was established in March 2010, with associated branding finalised in May 2010. The Agentis Australia brand may be used when administering programs on behalf of the Commonwealth or other states where the QRAA (Queensland Government) brand could be considered unsuitable or represents a barrier to entry.

It is envisaged that the Agentis Australia brand may also be used within Queensland to administer programs that are outside QRAA's traditional rural and regional market.

Pictured L-R: Chairperson of QRAA Board, Graham Davies and QRAA Chief Executive Officer, Colin Holden.

National business development

Strategic information secured through the market intelligence framework developed and implemented during 2009-2010 supported the identification of potential new business opportunities and helped prioritise and focus business development efforts.

National marketing and stakeholder engagement strategies implemented raised awareness and promoted QRAA service offering and competitive advantages to stakeholders and potential program owners across Australia.

The business development framework proved to be effective in analysing risk and the cost/benefits of potential new business opportunities will support effective pricing and tender management.

Program management and evaluation strategies and tools covering service agreements, project planning, continuous improvement, communication, audit and reporting requirements have laid the foundation for effective service delivery on a national basis.

Future focus

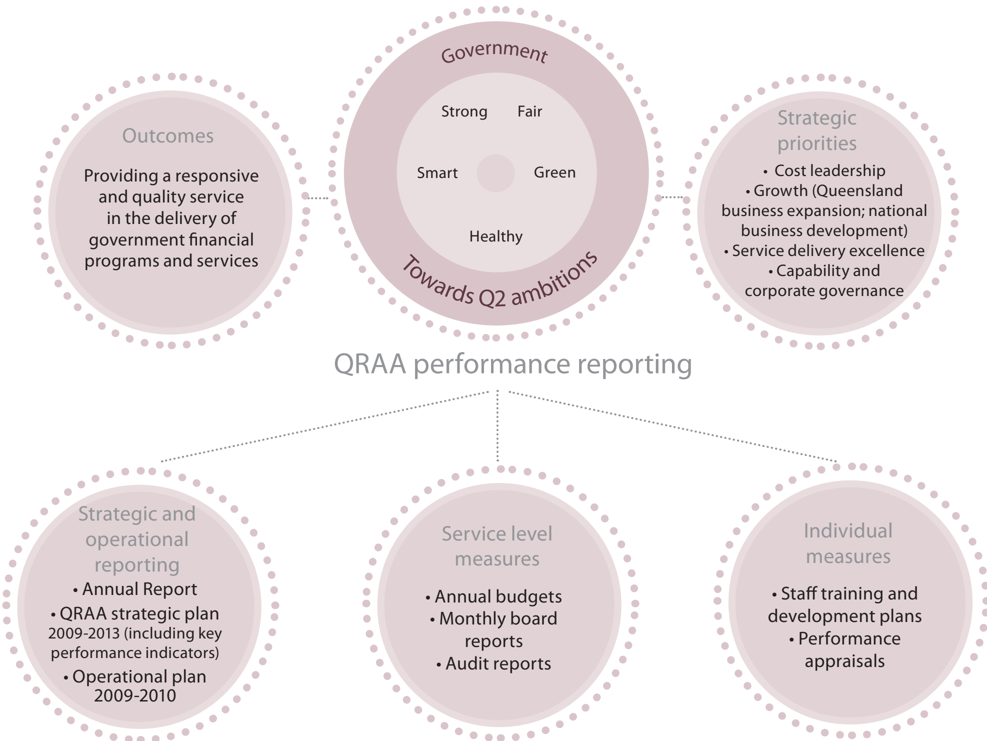
QRAA is well positioned to secure further new business in 2010-2011, particularly in Queensland where QRAA's reputation for service excellence is becoming well known throughout all Queensland Government agencies.

Providing increased access to our expertise, services and infrastructure will improve continuity of work and allow core skills and infrastructure to be maintained and enhanced.

QRAA will continue to develop a viable fee for service offering to supplement existing government funding which will strengthen QRAA's overall financial position and sustain future growth.

In response to the review of the *Rural and Regional Adjustment Act 1994,* further amendments may provide QRAA with greater capacity and flexibility to meet market demand.

Priority 3 - Capability and corporate governance



Our capability

QRAA worked on improving its core strengths, capabilities and corporate governance and planning frameworks during 2009-2010. Under the key strategic priority of 'capability and corporate governance' QRAA developed and implemented a number of strategic documents including:

- strategic planning and performance management frameworks
- corporate policies and procedures
- human resource management and workforce planning strategies.

Performance management frameworks

QRAA consolidated existing planning, reporting and performance measurement activities into a strategic planning and performance framework. This framework details the activities, frequency, tools and templates that contribute to QRAA's compliance with whole-of-government budgeting, and planning and reporting requirements.

An annual management calendar detailing corporate governance activities and compliance measures was introduced in 2009-2010 to support good corporate governance.

The calendar enables QRAA staff and managers to be aware of when significant planning and reporting activities occur allowing better coordination of staff workloads.

Performance measures data dictionary

During 2009-2010, a data dictionary was developed as a means of storing and maintaining definitional information associated with QRAA's organisational performance measures as used in a range of corporate documents including Strategic Plans and Service Delivery Statements. The data dictionary assists in the consistent interpretation of organisational performance measures and associated performance results.

Data modelling and analysis

During 2009-2010, a number of data models were developed to improve information and decision making in QRAA. These models cover a number of areas including resource planning, program activity forecasting and application assessment processing. The data models also facilitate improved data analysis and provide additional reporting capability.

Corporate policies and procedures

During 2009-2010, a number of key policies and procedures were reviewed and approved by the Senior Executive Team and submitted to the QRAA Board of Directors including, but not limited to:

- fraud management policy and control plan
- human resources policies and procedures
- anti-discrimination and harassment
- declaration of interests
- performance management
- disciplinary action
- grievance management
- risk management framework and associated documentation.

Priority 3 - Capability and corporate governance

A review of financial expenditure and human resource delegations was also completed to reflect changes in QRAA's organisational structure.

These policies are available to staff who are briefed on new policies and procedures at monthly staff meetings. Targeted training programs are conducted when specific policies require certain areas of compliance, for example, the Fraud Management Policy.

Risk management framework

The QRAA Board endorsed the risk management framework in 2009-2010, which ensures QRAA responsibly identifies and manages risks associated with its operations. The documents contained within the framework have been developed in accordance with the legislative requirements and include:

- risk management policy
- risk management guidelines
- strategic risk register.

QRAA's strategic risk register for each financial year is reviewed on a quarterly basis. The Audit and Risk Management Committee consider the reviews and then submit them to the Board. QRAA's annual review of the risk register is done during the operational planning process, with mitigation strategies identified for both the risk register and as key activities in each of the relevant business units operational plans.

Our people

QRAA is committed to providing a safe, rewarding and enjoyable environment in which staff can excel. During the year, QRAA focused extensively on developing the human resource framework in which staff operate. Policies, procedures and human resource practices were reviewed and in many cases, re-written to bring QRAA into closer alignment with best practice employee relations.

Workforce profile

As at 30 June 2010, we employed 74.7 full-time equivalent staff to perform a variety of duties across our business units. This is a decrease of 23.7 per cent over the previous year, which was due to the closure of several programs, a reduction in Exceptional Circumstances eligible areas and natural attrition.

Figure 1 identifies the number of staff per employment type (e.g casual, full-time, part-time). Sixteen employees voluntarily separated from the organisation resulting in a 17 per cent 12 month rolling average turnover.

Payroll review

In early 2010, QRAA conducted a review of the organisation's payroll function and identified that the current in-house payroll processing offers compatible and/or superior service access, flexibility and cost effectiveness when compared to outsourcing models.

On this basis, the temporary position of Payroll and Human Resources Support Officer was established on a permanent basis and payroll processing retained as an in-house service.

> ‘QRAA is committed to providing a safe, rewarding and enjoyable environment in which staff can excel.’

Workforce surge capacity

Due to the nature of programs that QRAA is engaged to deliver, QRAA's workforce needs to adjust quickly to meet the needs of program owners.

Strategies to address workforce surge capacity requirements were established in 2009-2010 and included establishing relationships with specialist recruitment agencies as well as creating a register of experienced potential assessors.

Performance development plans

The process for staff performance and development plans was reviewed during 2009-2010 and a more streamlined plan template was developed. The template aligns with QRAA's strategic objectives and operational plans by identifying activities in each staff members plan that contribute to key organisational objectives.

Professional development

In 2009-2010, a number of staff participated in a range of professional development opportunities including:

- media training
- social networking
- computer training
- job specific technical training
- Diploma of Agriculture (see page 23)
- secondments to government agencies.

QRAA spent more than $82,000 on professional development and related expenses including formal tertiary study as part of the organisation's ASPIRE program.

Employee satisfaction survey

An employee satisfaction survey was conducted online in February 2010 using an external provider. More than 80 per cent of staff participated in the survey which focused on organisational climate and experiences. The survey found that overall staff were 74.1% satisfied with the organisation. The management team committed to using the survey results as a baseline for improvement initiatives and strategies to increase organisational performance and growth.

Flexible working arrangements

Staff continued to enjoy flexible working hours and a number of arrangements were implemented across the organisation to accommodate staff needs including job sharing, and part-time and casual employment.

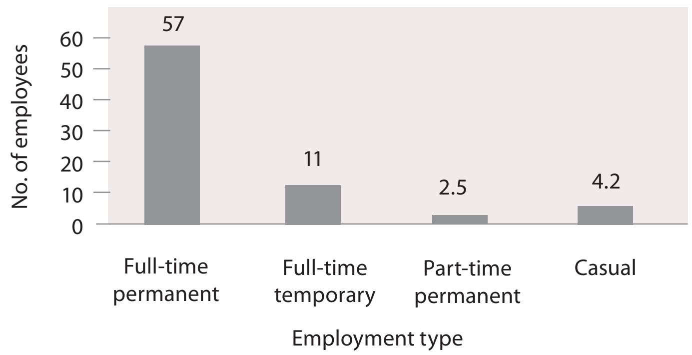
Initiatives for women

Customised work arrangements were introduced in 2009-2010 to allow employees returning from maternity leave privacy for breastfeeding purposes. A number of female employees returned from maternity leave in part-time capacities. Three female officers were appointed to management positions while another three females participated as members of QRAA's Board of Directors.

Employee benefits

QRAA staff continued to access lifestyle services and benefits through the API Employee Benefits Program and the Assure Employee Assistance Program - a free, confidential counselling service.

Figure 1. QRAA employees by employment type (as at 30 June 2010)



Pictured L-R: QRAA staff participating in the Diploma of Agriculture with Chris Rogers (Training Coordinator) (back left) and Colin Holden (Chief Executive Officer) (centre), Rachel Xu, Maria Nieddu, Jennifer Harman, Neil Currie, Corinne Hunt.

Diploma of Agriculture

The ongoing training and development of QRAA staff is integral to building relationships with primary producers and stakeholders within Queensland's rural industries.

Four QRAA staff members completed their Diploma of Agriculture through Australian Agricultural College Corporation (AACC) Dalby Campus in 2010. This is a nationally accredited qualification, which is in alignment with the AACC curriculum.

The course adopted a practical learning approach visiting farms and rural industry workplaces focusing on agricultural content which is relevant to the QRAA workplace and the participant's work activities. This enabled participants to immediately transfer and adopt the knowledge and skills acquired into a 'real life' situation enabling QRAA staff to make more informed decisions regarding a customer's business and to communicate more effectively with associated stakeholders in the rural sector.

The course structure enabled QRAA staff to participate in a team environment, enhancing the group dynamics of the team, as well as providing a more relaxed and effective learning experience.

A second group of seven QRAA staff are currently undertaking their Diploma and are expected to graduate later in the year.

Overall, QRAA is very pleased with the outcome of this training, which enhances staff rural industry knowledge and skills when dealing with primary producers and associated stakeholders within the rural sector.

Our resources

QRAA's information services were constantly evolving during 2009-2010 in line with business needs and future opportunities. Key achievements included new service desk software, voicemail upgrade and the move to virtual desktops.

Service Desk

The new Service Desk software was implemented enabling staff to log their requests for assistance or reporting of faults or incidents directly via a ticketing service on the QRAA intranet. This software enhances service quality and increases responsiveness to the needs of staff. Information Services staff allocate service jobs based on priority with staff continually updated on the progress of their request via email.

Voicemail

A voicemail system upgrade for the QRAA telephone service was installed during 2009-2010. This upgrade provides a unified messaging environment with the ability to detect a staff member's presence at their workstation. The software, known as Executive Insight, integrates with Microsoft Outlook.

Desktop computing environment

In order to minimise the support overhead of maintaining a desktop computing environment and to increase QRAA's ability to respond rapidly to increased desktop requirements, QRAA will move to a virtual desktop environment (namely Citrix). This includes using thin client desktop units which enable all applications to run from the main server. Planning, testing and procurement were completed during 2009-2010 with implementation to continue in 2010-2011.

Priority 4 - Service delivery excellence

In 2009-2010, QRAA committed to delivering a high level of service to both program owners and customers with one of the key strategic priorities being 'service delivery excellence'.

QRAA's service delivery can be considered as services provided to rural and regional Queenslanders (community services and engagement) and services undertaken on behalf of program policy owners (administrative services).

Community services and engagement

Customer relations

QRAA established a Customer Relations unit in 2009-2010 to ensure services provided to our customers are delivered in the most efficient manner. The unit consists of client liaison officers, field inspectors, customer service officers and a customer service manager.

Regional services

Our regional representatives ensure a strong presence throughout Queensland, delivering proactive solutions and assistance to customers and building excellent relationships with stakeholders.

Our client liaison officers are based in Bundaberg, Innisfail, Kingaroy, Longreach, Mackay, Rockhampton, Roma and Toowoomba.

The ability of our client liaison officers to provide services on-farm further demonstrates our commitment to customer service and ensures a sound understanding of customer enterprises, their goals and requirements.

QRAA greets new Roma client liaison officer

MIEKE Elder has taken up the Roma appointment of QRAA's new client liaison officer.

Based in Roma, Mieke will service the Maranoa, Goondiwindi, Balonne, Murweh and Paroo shire councils, Taroom in the Banana Shire, and parts of the Western Downs Regional Council area including Miles, Wandoan, Tara and Chinchilla.

Mieke will liaise with producers, small business operators, industry, bankers, accountants and government agencies, and provide information about QRAA's range of products and services. She will also visit producers on-farm to carry out property inspections and answer enquires about QRAA programs and application processes.

Officially taking up the position this month, Mieke will replace Craig Turner who has moved into QRAA's Brisbane head office in the position of manager customer relations.

"I am excited and proud to be joining an organisation like QRAA whose commitment to strengthening its connections to Queensland's rural and regional customers remain the number one priority," Mieke said.

"Making ends meet during the drought is a major concern for many Queensland producers and it is important to recognise QRAA can assist producers to improve their on-farm productivity and create opportunities to generate stronger returns through QRAA's low interest productivity loans. QRAA can also play an important role in providing assistance to small business operators who are adversely affected by exceptional drought conditions or by natural disasters of substantial magnitude."

Mieke's previous roles spent in the agribusiness banking sector have allowed her to gain extensive knowledge in agricultural production systems and commodity marketing in rural Queensland. Mieke's qualifications include a Bachelor of Agricultural Science with first class honours and she has progressed through the ranks of the ANZ graduate program.

● Mieke can be contacted on 1800 623 946, 0427 029 141 or mieke.elder@qraa.qld.gov.au

Queensland Country Life
26 November 2009 p60

Priority 4 - Service delivery excellence

Community services and engagement...

Rural and regional events

Throughout the year, we coordinated and participated in a number of regional events. Our client liaison officers attended 192 events across Queensland including field days, seminars, meetings and community forums.

The QRAA Board visited local primary industries as well as eighteen customer properties in the following regions to see how QRAA assistance has helped rural producers and small business operators:

- Central Queensland and Northern Burnett - July 2009
- Kingaroy, Murgon and Tin Can Bay - November 2009
- Roma/Maranoa - April 2010.

Pictured L-R: Mieke Elder (Roma Client Liaison Officer), QRAA Board members Matthew Hood, Richard Stevens, Nigel Brumpton (producer), Wayne Carlson, Joy Cooper and Colin Holden (QRAA Chief Executive Officer) during the regional Board tour to the Roma/Maranoa region.

QRAA review flood situation first hand

Western Star
23 April 2010 p4

The top brass of rural assistance provider QRAA got to see first hand some of the recent flood affects during their "listening" tour of the region this week.

The Western Star caught up with the QRAA board on Wednesday as they enjoyed the hospitality of Alan and Margaret Maudsley for lunch at their beautiful "Mackinlay" homestead on Forest Vale Road about 38km north of Mitchell.

The area around Mackinlay is steeped in history. Major Thomas Mitchell camped here in 1846 as he surveyed the area.

Alan Maudsley said he had been there "only" thirty years but the floods were some of the worst he'd seen in his time there as the waters rose in the nearby World's End Creek and Maranoa River.

He told the QRAA board members the waters did not inundate the house but he had to replace a lot of fencing around the property.

Mackinlay was one of several home visits the Board was making around St George, Mitchell, Wallumbilla and Yuleba this week.

The QRAA Board members and Chief Executive Officer were visiting the region to see first hand how QRAA customers were coping with the effects of recent flooding following the prolonged drought.

QRAA Chief Executive Officer Colin Holden said the regional visit allowed board members to gain insight into dramatic climatic conditions affecting their rural and regional customers and how financial assistance has helped recovery from the flooding and increased the productivity, profitability and sustainability of their businesses.

"We wanted to get out and get a feel for the issues," Mr Holden said.

"Dealing with the floods is uppermost in our minds."

While at Mackinlay they heard first hand from the Maudsleys' friends and neighbours how the floods affected their customers.

Annie Noon, who lives 80km south of Mitchell, brought along photos which showed the extent of the devastation to her family property.

Mrs Noon said the nearby Neabul Creek burst its banks and water got under the house and into the machinery sheds.

"A neighbour warned us at 6am there had been seven inches of rain overnight," she said.

"We put everything up on tables and lifted bikes, freezers and fridges up but the woolshed went under."

Although not covered for flood losses because they are insured with Elders, Mrs Noon still counts her family among the lucky ones.

"Many people were away when the floods hit," she said.

"They would have come home to an unbelievable mess."

Priority 4 - Service delivery excellence

Community services and engagement...

"Participating in the 'Leading Sheep' webinar is an innovative way to engage with Queensland's rural producers and shows QRAA's commitment to working with industry"

Colin Holden, QRAA Chief Executive Officer

Temporary offices

To assist customers with information on financial support to aid in flood and drought recovery, we supported whole-of-government flood recovery centres and facilitated a number of temporary offices throughout regional Queensland.

Temporary offices were established in Far West, South West and Far North Queensland and included locations such as Croydon, Meandarra, Miles, Normanton, Quilpie, Rolleston, St George, Surat, Tara and Thargomindah.

Drought and flood affected primary producers and small business owners were invited to meet one-on-one with a QRAA Client Liaison Officer to discuss applying for assistance.

Online services

QRAA's website provides online visitors with comprehensive information about all of our financial assistance programs with links to program fact sheets, guidelines and application forms. Customers are able to search for programs based upon whether they are a primary producer, commercial fisher or small business operator and can provide feedback via the 'contact us' webpage. We continued to improve the online experience for our customers during the year and continually updated company features, news and program information.

Our newsletter

Our newsletter, 'Prime Focus', continued to be a key communication method for sharing information with customers and stakeholders. This year we focused on delivering the newsletter electronically, significantly reducing printing and postage costs. We received a number of industry contributions for the newsletter this year, namely from Agforce, Canegrowers and Queensland Dairyfarmers' Organisation, displaying the strong relationship we have with industry.

Freecall hotline

QRAA's Freecall 1800 number is a dedicated hotline making it easier for customers to do business with us. The hotline is operated by skilled staff who provide advice and information about QRAA's assistance. In 2009-2010, over 12,300 enquiries were received on the Freecall number.

Media coverage

In 2009-2010, QRAA worked closely with media in regional Queensland to inform the community about its programs and services. Initiatives receiving media attention included drought and flood assistance, Board tours, regional staffing appointments and temporary offices.

The media took strong interest in QRAA's role in providing assistance to people in South West Queensland who had been affected by the March floods. QRAA's Chief Executive Officer, Colin Holden, was available to media and appeared on talkback radio during ABC Country Hour in March.

Engaging with rural Queensland

QRAA's Client Liaison Officers (CLO) Kate Dunk, Bill Fletcher and Mieke Elder presented at a special internet 'webinar' for the Leading Sheep group in November 2009.

QRAA Chief Executive Officer, Colin Holden said QRAA was delighted to accept the invitation to present at the November Leading Sheep online seminar, as it was an innovative way to reach and engage with rural producers in Queensland.

"Participating in the webinar also shows QRAA's commitment to working with industry, especially as this is an initiative of the Leading Sheep group supported by the Australian Wool Innovation Limited and Agforce in partnership with Queensland Primary Industries and Fisheries," Mr Holden said.

The webinar enabled the CLO's to deliver a presentation showcasing QRAA's range of financial programs and services - online and in real time.

The presentation had a specific emphasis on sheep and wool production and highlighted how QRAA's Productivity Loans could enhance a producer's viability, sustainability and profitability.

Almost 40 primary producers, advisors and government officers participated in the webinar.

Administrative services

QRAA provides full administrative services as well as support services to complement existing administrative arrangements and suit the needs of program owners.

QRAA provides specialised, cost effective and efficient financial administrative services on behalf of the Commonwealth and Queensland Governments.

We aim to be the preferred provider of government financial programs and services by offering a range of administrative services including:

- financial and commercial assessments
- due diligence and probity reporting
- concessional loan management and review.

Our administrative offerings

Cost effectiveness

QRAA delivers government programs cost effectively, many on a 'fee-for-service' basis.

Full or partial administrative services

QRAA provides full administrative services as well as support services to complement existing administrative arrangements to suit the needs of program owners.

Customer service

QRAA's staff provide the highest levels of service and direction to potential and current customers about program suitability and information requirements.

Operational efficiencies

QRAA is efficient in its operations and processes large application volumes often within short timeframes.

Network of alliances

QRAA has alliances and relationships with industry organisations and the Queensland and Commonwealth Governments.

Information security

QRAA maintains a large, detailed and secure database of applicant information and adheres to privacy principles and legislation.

Performance reporting

QRAA provides internal and external stakeholders with program specific statistical data and information by way of routine reports and responses to ad hoc requests.

Quality control processes are used to ensure accuracy of performance reporting and statistical analysis.

Program owners

Program owners during 2009-2010 included both the Commonwealth and Queensland Governments.

QRAA administers programs under formal agreements with government departments and within legislative requirements established for each new program.

Programs

The programs administered by QRAA in 2009-2010 can be classified into three categories:

- productivity enhancement programs
- sustainability related programs
- climate related programs.

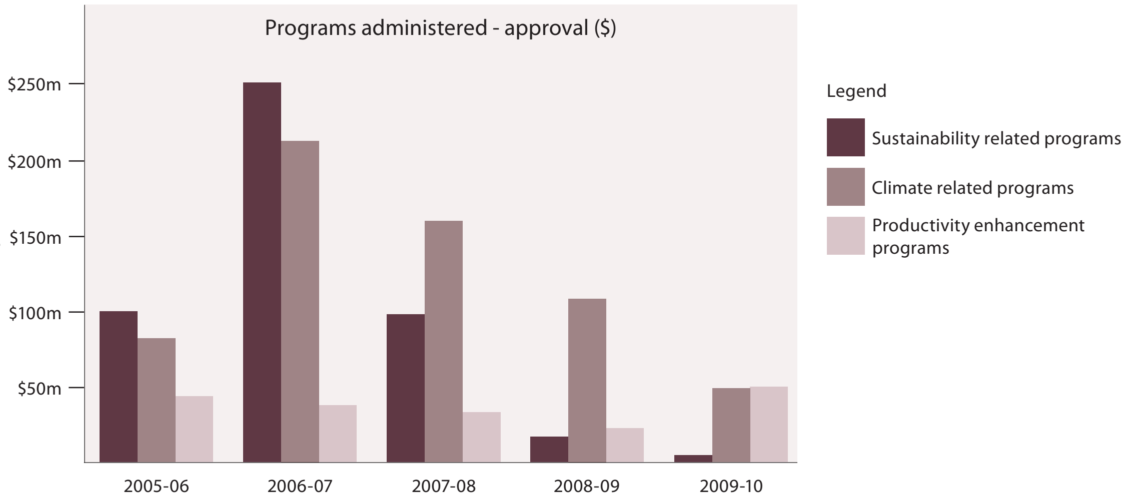
Productivity enhancement programs aim to increase the capability of primary producers to improve sustainable production, protect the environment, achieve self-reliance and strengthen the economy of rural and regional Queensland.

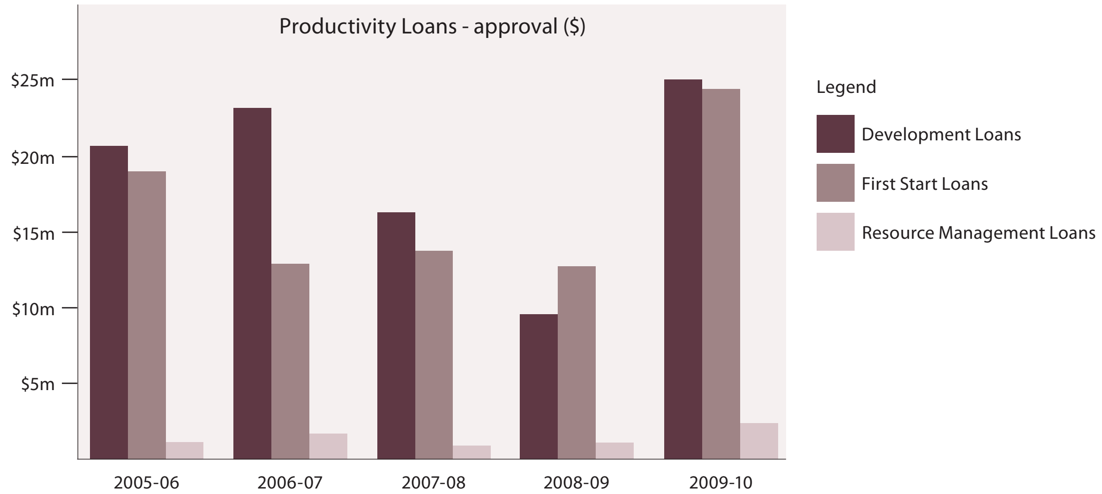
Sustainability related programs support primary producers and small business owners are implementing initiatives designed to ensure the long-term sustainability of Queensland's natural resources.

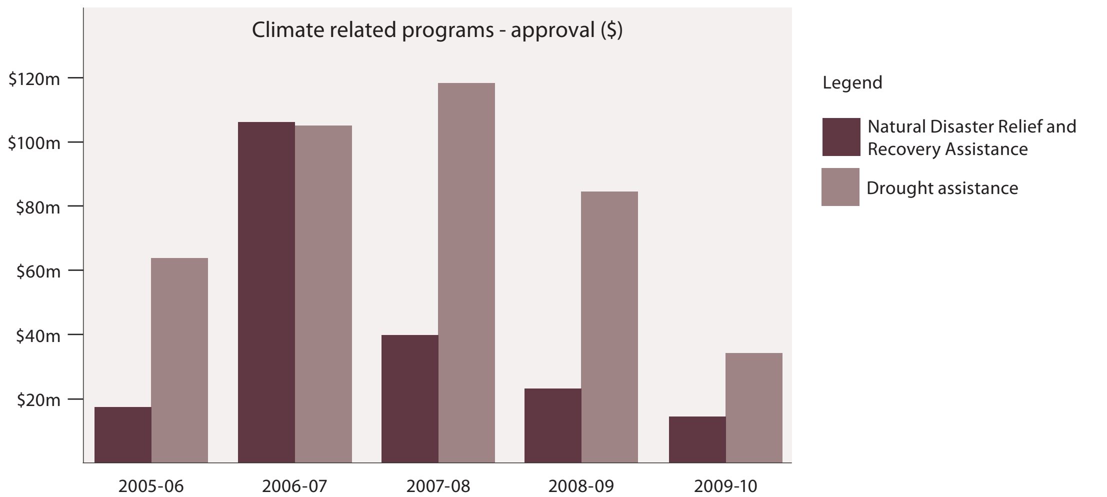
QRAA's climate related programs enable primary producers and small businesses experiencing difficult circumstances, such as drought or natural disaster, to continue to operate their enterprises and implement recovery processes.

Priority 4 - Service delivery excellence

QRAA provides a diverse range of financial programs to assist rural and regional Queenslanders to develop the means by which they can increase their productivity, profitability and sustainability.







Program portfolio

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PROGRAM OWNER	PROGRAM	APPLICATION APPROVALS				
		2008-2009 #	2009-2010 #	2008-2009 $	2009-2010 $	$
	Productivity enhancement programs					
	Productivity loans					
Queensland Government	Development Loans*	59	134	9,082,271	23,805,297	↑
	Resource Management Loans*	10	22	1,028,182	2,261,072	↑
	First Start Loans*	40	73	12,094,945	23,223,159	↑
	Training and skills development					
Australian and Queensland Governments	AAA FarmBis	33	-	78,862	-	Closed
	Sustainability related programs					
Queensland Government	Moreton Bay Marine Park Structural Adjustment Package**	118	-	12,279,236	-	Closed
Queensland Government	Business Adjustment Scheme for the proposed Traveston Crossing and Wyaralong Dams*	25	4	1,232,967	248,955	↓
Australian Government	Great Barrier Reef Marine Park Structural Adjustment Package**	7	4	3,121,471	4,345,502	↑
Australian and Queensland Governments	Citrus Reimbursement and Re-establishment Scheme	2	-	3,575	-	Closed
	Climate related programs					
	Natural disaster assistance					
Australian and Queensland Governments	Special Disaster Flood Assistance Scheme (March 2010)	-	828	-	5,597,401	New
	Queensland Flooding and Cyclones (January to April 2010)	-	10	-	1,581,000	New
	Queensland Bushfires commencing 22 September 2009	-	2	-	121,000	New
	Special Disaster Flood Assistance Scheme (Cyclones Charlotte & Ellie) (January and Februrary 2009)	-	427	-	5,129,960	New
	Cyclones Charlotte & Ellie (January and February 2009) (primary producers and small business)*	7	9	748,394	1,532,500	↑
	Special Disaster Flood Assistance Scheme* (January and February 2008)	1,705	-	19,086,361	-	Closed
	Sunshine Coast, Gympie and Fraser Coast (small business) (April 2009)	1	2	100,000	190,842	↑
	Queensland Storms and Flooding (November 2008)	1	-	50,000	-	Closed
	Queensland Monsoonal Flooding (January and February 2008) (primary producers and small business)*	19	1	2,823,505	67,700	↓
	1992 Individual Disaster Stricken Properties (IDSP)	2	-	170,000	-	↓
	Drought assistance					
Australian and Queensland Governments	Rural Adjustment Scheme - Exceptional Circumstances (primary producers and small business)*	2,324	891	81,467,441	31,091,465	↓
Queensland Government	Small Business Emergency Assistance	22	4	159,660	25,000	↓
Queensland Government	Drought Carry-On Finance	3	2	180,000	130,000	↓
Queensland Government	Drought Recovery Loans*	17	31	1,315,839	2,859,435	↑
Queensland Government	Irrigators Fixed Water Charges Rebate Scheme	93	-	112,363	-	Closed
Queensland Government	Additional Irrigators Fixed Water Charges Rebate Scheme	657	23	560,008	17,134	↓
Queensland Government	Drought Rate Rebate Scheme	340	-	779,907	-	Closed
	TOTAL	**5,485**	**2,467**	**146,474,989**	**102,227,421**	

* 2008-2009 figures have been amended to reflect cancellations and adjustments that occurred during 2009-2010.
**QRAA was not the decision maker for the Moreton Bay Marine Park and Great Barrier Reef Marine Park Structural Adjustment Packages.

Priority 4 - Service delivery excellence

Queensland Government - Productivity Loans

In 2009-2010, QRAA undertook the ongoing administration of the Primary Industry Productivity Enhancement Scheme (Productivity Loans) on behalf of DEEDI. The Loans effectively delivered vital assistance that contributed to the government's objective of strengthening the economy of Queensland's regions.

Benefits provided to rural and regional Queensland through the Productivity Loan program successfully addressed primary production productivity, viability, resource management and the establishment of primary production enterprises.

Productivity Loan assistance to primary producers and commercial fishers experienced a dramatic increase in 2009-2010 with $49.29 million in assistance approved (229 applications) compared to $22.21 million approved (114 applications) in 2008-2009. The increase, which was seen across nearly all primary production industries and regions throughout Queensland, can be attributed to improved seasonal conditions, reduced interest rates and improved confidence in the economy following the global financial crisis in 2008-2009.

"A QRAA Development Loan gives a small producer like ourselves a chance to build up an enterprise at a very reasonable interest rate"

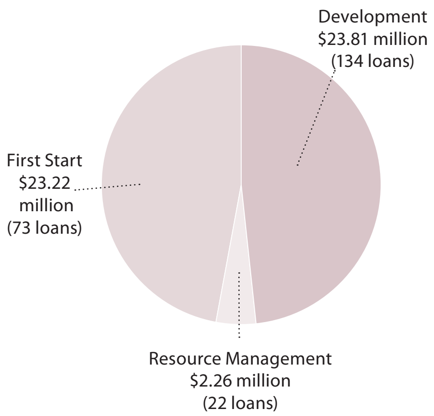
Bill and Julie Ford, Kingaroy pig producers

Development Loans

Development Loans provide primary producers and commercial fishers with finance to undertake programs to improve the productivity and profitability of their enterprises, ensuring their long-term sustainable future. Loans up to a maximum of $500,000 are available to assist producers with a wide range of productivity enhancement activities including enterprise expansion, partnership rationalisation and on-property capital works.

Assistance provided under Development Loans increased by 162% in 2009-2010 with 134 applications approved ($23.81 million). Queensland's livestock producers were the leading supporter of Development Loan funding with $13.10 million approved (70 applications) – 43% of this funding for property build-up. Ten sugar cane producers received $2.42 million in total funding, predominantly for property build-up and partnership rationalisations compared to zero funding for sugar cane producers in 2008-2009.

Productivity Loan approvals ($)
2009-2010



Productivity Loan review

Queensland's agricultural sector has experienced variable seasonal conditions and a changing policy environment in recent years. A review of the Productivity Loan program was established by the Minister for Primary Industries, Fisheries and Rural and Regional Queensland in 2009 to ensure the alignment of the programs with the Queensland Government's economic development policies and priorities in a climate change and drought preparedness context.

QRAA's two General Managers participated as members of the independently chaired review panel along with government representatives. Significant consultation took place with the industry organisations and financial institutions.

The review report of February 2010 provided recommendations for consideration and approval by the Minister. The loans were found to be well placed to support national and state drought programs and "assist producers to mitigate the effects of drought and climate change and become more self reliant".

The most significant change proposed will see the Development and Resource Management programs amalgamated into a Sustainability program with loans of up to $650,000 available. The changes will be implemented in the 2010-2011 financial year.

4

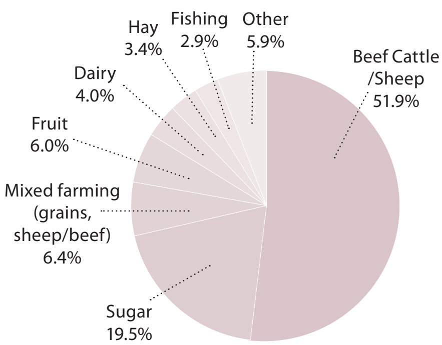
Productivity Loans cont...

"We were encouraged by the fact that QRAA provides these sorts of loans to help ensure the future sustainability of agriculture in Queensland by supporting young people like ourselves to get a start in the industry"

Tom and Sky Curtain, Kingaroy horse breakers/ beef producers.

Pictured: Sky and Tom Curtain with Minister for Primary Industries, Fisheries and Rural and Regional Queensland, the Hon. Tim Mulherin MP.

Productivity Loan approvals by industry 2009-2010



First Start Loans

In 2009-2010, $23.22 million in funding was approved (73 applications) under First Start Loans – an increase of 92% from 2008-2009. The predominant users of the loans were producers wanting to upgrade their smaller non-viable enterprises to one of an economically viable size with $10.17 million approved (32 applications), an increase of $6.03 million from 2008-2009. Two of these approvals, totalling $590,000, were provided to commercial fishers. Eighteen applications were approved $6.91 million in total funding for the purchase of their first rural property, a 108% increase from 2008-2009.

Ten next generation farmers were approved $3.45 million in total funding to take over the family farm as part of their succession plan. Producers entering into the cattle and sugar industries were the leading benefactors of First Start Loans, accessing 77% of total funding.

Resource Management Loans

Resource Management Loans were made more accessible to producers in 2009-2010 with QRAA given the authority to assess the eligibility of producers without the need for DEEDI or DERM certification. For specific projects, however, certification is still required from the appropriate Department.

2009-2010 saw a 120% increase in Resource Management Loans with 22 applications approved ($2.26 million) for sustainability projects. Twelve livestock producers shared $1.11 million in approvals, five of these ($475,200) towards bore capping under the Great Artesian Basin Bore Sustainability Initiative.

Other initiatives funded under Resource Management Loans in 2009-2010 included purchase of plant and equipment for water use efficiency projects ($778,050 approved to six producers), erosion control, effluent control, establishing of additional watering points and vegetation management.

Priority 4 - Service delivery excellence

Queensland Government - Drought

Drought Carry-on Finance and Recovery Loans

QRAA continued to administer Drought Carry-on Finance and Recovery Loans in accordance with the loan guidelines in 2009-2010.

Drought Carry-On Finance

Assistance under this program provides support to primary production enterprises impacted by drought to such an extent that additional funding is required to meet operating and financial expenses. Concessional loans up to $100,000 are available to eligible applicants. With improved conditions across much of the state at the beginning of 2009-2010, producers in only three eligible shires were able to apply for assistance under the program up until the 30 June 2010 expiry date. Two approvals were made in 2009-2010, totalling $130,000.

Drought Recovery Loans

Given the improved seasonal conditions enjoyed by many Queensland primary producers through 2009-2010, total assistance approved during the year under this program increased from $1.32 million in 2008-2009 to $2.86 million to 31 successful primary producer applications (up from 17 in 2008-2009). Under this program, concessional loans up to $200,000 are available to those producers who have received sufficient rainfall to commence their drought recovery with activities such as restocking, planting or invigorating post-drought crops.

Livestock producers accounted for $2.82 million of the approved funding in order to rebuild their herds following the need to destock during the drought. This program has been extended to 30 June 2011.

Additional Irrigators Fixed Water Charges Rebate Scheme

QRAA administered the Additional Irrigators Fixed Water Charges Rebate Scheme in accordance with the Memorandum of Understanding made between QRAA and SEQWater in 2008.

Throughout the duration of the Scheme, QRAA:

- acknowledged the sensitivity of applications
- liaised with SEQWater in relation to the administration of the Scheme
- advised SEQWater within five business days of the approval of applicants who have qualified for financial hardships provisions under the Scheme
- advised SEQWater of the expected date that the rebate cheque would be sent to the applicant.

In August 2008, as a result of continuing low water availability, the Queensland Government announced it would provide further financial assistance to irrigators in six water supply schemes, namely Three Moon Creek; Central (Morton Vale) and Lower Lockyer; Upper Condamine; Upper Burnett (Claude Wharton Section); and Barker Barambah.

The Additional Irrigators Fixed Water Charges Rebate Scheme, established in September 2008, provided financial assistance up to a maximum of $10,000 per annum to eligible irrigators to contribute towards the cost of paying fixed (or part fixed) water charges incurred from 1 July 2008 to 30 June 2009.

In 2009-2010, QRAA approved 23 applications totalling $17,134. More than 73% of the financial assistance administered was provided to the SEQWater operated water schemes of Central (Morton Vale) and Lower Lockyer. The Scheme closed on 30 September 2009.

QRAA assistance vital for region

Sarah Fleming

editorial@southburnetttimes.com.au

Wayne Weller, Primary Industries Minister Tim Mulherin and QRAA Board Chairperson, Graham Davies at Wayne's Wooroolin property last week.

Wooroolin peanut farmer, Wayne Weller said assistance from the Queensland Rural Adjustment Authority will play a significant role in the future of agriculture in the South Burnett.

Mr Weller hoped assistance from QRAA would fund the development of a water harvesting storage unit on his property set to cost close to $100,000.

"Some people might question our sanity, building a dam in the middle of a drought but we have to be prepared for when the floods actually do come," Mr Weller said.

Mr Weller said there is no denying climate change is a factor in modern farming and modern farmers have to evolve to survive.

`Assistance from QRAA is very important, particularly in funding development, mainly because it is a long term thing. They look 10 to 20 years into the future which is something banks don't do," he said.

Mr Weller said he will lodge his application for funding to QRAA in the near future.

"It is taxpayer money so they have to be careful with it but I have had an indication from them that our project suits the criteria needed for funding," he said.

QRAA CEO, Colin Holden and Primary Industries Minister, Tim Mulherin were in the South Burnett last week for a tour of three properties which had received assistance, to see how the money has been spent.

"At the moment a lot of people don't have the capacity to generate a lot of cash flow and the loans and other assistance mean they can come out the other side of the drought safely," he said.

Mr Holden said innovation at the properties ranged from construction of effluent disposal systems, major renovations and increase water storage units.

Mr Holden said the purpose of the regional tour was for the QRAA board to find ways to improve services to farmers in the area.

Primary Industries Minister Tim Mulherin said he was surprised by the properties wvisited in the South Burnett region, including a piggery, stockhorse training farm and peanut farm.

"The innovation of the primary producers in the drought never ceases to amaze me," he said.

Mr Mulherin said he was satisfied with how the money had been used.

"The properties have the chance to reach economic capacity and survive and come out the the other side of the drought," he said.

South Burnett Times
27 November 2009 p52

Priority 4 - Service delivery excellence

Commonwealth/Queensland Government

QRAA administers a number of climate related programs on behalf of the Australian and Queensland Government. These are:

- Rural Adjustment Scheme - Exceptional Circumstances (primary producers and small businesses)
- Natural Disaster Relief and Recovery Arrangements (NDRRA)
- Special Disaster Flood Assistance Schemes (special relief measure under the NDRRA)

"A mobile office is heading to Hazeldean Station near Kalpower west of Gin Gin. On board will be a farm financial counsellor and a QRAA officer to provide advice and support to impacted producers."

Minister for Primary Industries, Fisheries and Rural and Regional Queensland Tim Mulherin media statement, 21 October 2009

Natural disaster assistance

The 2009-2010 year saw Queensland befall numerous natural disaster events which impacted heavily on the effective operations of many primary production and small business enterprises. This resulted in the Minister for Police, Corrective Services and Emergency Services activating QRAA's Natural Disaster Relief and Recovery Arrangements for two distinct natural disaster events during the year:

Queensland Bushfires commencing September – October 2009

Concessional loans for primary producers were activated in October 2009 in relation to bushfire activity commencing on 22 September 2009 in Central, North Coast, Northern, South East and South West Regions.

Queensland Monsoonal Flooding and Tropical Cyclones Olga, Neville, Ului and Paul, January to April 2010.

Concessional loans to primary producers and small businesses in selected shires were initially activated on 4 March 2010, with additional shires being included up until 13 April 2010.

2009-2010 summary

The concessional rate loans of up to $250,000 approved under this program provide primary producers and small businesses with affordable finance to assist with the re-establishment and recovery of their enterprises following a natural disaster. Total funding of $3.49 million was approved to primary producers and small businesses under this program during 2009-2010, with almost $1.79 million funded to enterprises affected by natural disaster events occurring in the previous financial years. In excess of $2.08 million of the total funds provided were approved to disaster affected livestock producers.

Given the magnitude of the flooding events caused by cyclones and monsoonal rains in early 2010, further applications for support under this program are anticipated as primary producers and small businesses determine the true impact of the disaster on their enterprises and the level of assistance that will be required to aid their recovery.

Pictured: Devastation following the bushfire at Gaeta in September 2009 and the same tree photographed in January 2010 following rains.

4

Exceptional circumstances

"We have utilised QRAA's drought relief interest subsidies in the past and given our recent experience we would certainly do more business with QRAA in the future"

Michael and Jenny Welsh, Southern Downs wool producers

The Exceptional Circumstances interest subsidy scheme provides financial assistance to primary producers and small businesses located in regions suffering from financial difficulty as a result of the ongoing drought. Assistance provided is an interest subsidy up to $100,000 to meet carry-on requirements and aid the recovery process following drought.

Since the first Exceptional Circumstances declaration was made in 2001-2002, QRAA has provided over $465.6 million in Exceptional Circumstances interest subsidy assistance to drought affected Queensland primary producers and small businesses.

Declarations

At the beginning of 2009-2010, the Exceptional Circumstances interest subsidy program could be accessed by eligible primary producers and small businesses in five Exceptional Circumstances declared Queensland regions (down from 11 declared regions in 2008-2009), these being the South West, Western Downs Maranoa, Central Darling Downs, Northern Darling Downs and Far West regions. The declaration period for these regions was 16 June 2009 to 15 June 2010.

Following a recommendation from the National Rural Advisory Council, the Commonwealth Government extended the declaration period for the South West, Central Darling Downs and Northern Darling Downs regions by six months, as it considered that a further period of recovery was required in these regions. Eligible primary producers and small businesses in these regions are able to apply for support up until 15 December 2010.

In February 2010, the Commonwealth Government approved a new Exceptional Circumstances declaration for the Gulf region, consisting of parts of the Carpentaria and Croydon Shires. The declaration periods for this region are 10 February 2010 to 9 February 2011 and from 10 February 2011 to its expiry on 15 June 2011.

2009-2010 summary

In 2009-2010, 891 applications for interest subsidy grant assistance were approved totalling $31.1 million, down from 2,324 successful applicants in 2008-2009 totalling $81.47 million. 838 successful primary producer applications were approved ($29.91 million) and 53 small business applications ($1.19 million).

Livestock producers continued to be the primary user of the program with more than 68% of the total funds approved ($21.20 million) being approved to 608 graziers. Other prominent primary production enterprises using the scheme included mixed grain/livestock operations, cotton, hay, fruit and vegetable and grain enterprises.

Over 75% of small business approvals were accessed by enterprises directly reliant on primary production enterprises for their revenue, ie. contract harvesters, crop sprayers and planters and livestock/grain transport operators. As seasonal conditions have improved across much of Queensland and with the remaining Exceptional Circumstances declarations expiring in December 2010 and June 2011, a further reduction in applications is expected in 2010-2011.

Building farm businesses

The Commonwealth Government, in conjunction with the Western Australian Government, is set to conduct a pilot of drought reform measures in Western Australia from 1 July 2010 to 30 June 2011.

This pilot program – Building Farm Businesses – was developed in response to the national review of drought policy, moving from a crisis management approach to risk management, aiming to better support farmers, their families and rural communities in preparing for future challenges. The program provides grants up to $60,000 per farm business for eligible activities.

Priority 4 - Service delivery excellence

Special disaster flood assistance

Photograph courtesy of Carla Adams.

"I would like to thank you for your time and perserverance regarding our application. We have received the $25,000 grant which, like many, will be tremendous help in these times of recovery"

Belinda Eley, St George primary producer

The Commonwealth and Queensland Governments activated the Special Disaster Flood Assistance Scheme following significant flooding events in northern Queensland in February 2009 and south west Queensland in March 2010.

The Scheme provides immediate financial support in the form of a grant to primary producers and small businesses who suffered direct damage as a result of the flooding.

The grants are a special relief measure under the Natural Disaster Relief and Recovery Arrangements and are only provided where it is demonstrated that the standard relief measures would not be sufficient to allow for community recovery.

Tropical Cyclones Charlotte and Ellie

On 15 June 2009, the Commonwealth and State Government announced that grant assistance under the Special Disaster Flood Assistance Scheme would be made available to primary producers and small businesses impacted by flooding caused by Tropical Cyclones Charlotte and Ellie in January and February 2009.

Assistance up to $15,000 for eligible enterprises in the Gulf region and Hinchinbrook Shire was available to aid with the cost of clearing and/or disposing of debris, damaged goods or deceased livestock, repairing or reconditioning essential plant and equipment and repairing damaged property infrastructure.

The first application under this program was received 22 July 2009 with the first reimbursement paid 31 July 2009. Applications for assistance closed 30 November 2009.

In 2009-2010, 407 primary producer applications and 20 small business applications were approved at a total of $5.13 million under this program. Of the $4.91 million provided to primary producers, almost 96% was granted to sugar and livestock enterprises ($2.25 million and $2.46 million respectively). Assistance to small businesses was allocated across a number of industries including retail, restaurants, hotels, transport and agricultural services.

South West Queensland floods (March 2010)

A large number of primary producers and small businesses in south west Queensland experienced significant damage from flooding caused by monsoonal rains in March 2010, resulting in the activation of Special Disaster Flood Assistance Scheme. The Prime Minister and Premier announced the program on 9 March 2010.

Grants up to $25,000 were made available under this package with up to $5,000 immediately available to eligible applicants upon application and a further $20,000 available upon evidence of expenditure. QRAA funded its first eligible applicant on 22 March 2010, less than two weeks after the Governments announcement of the program.

As at 30 June 2010, 828 primary producer and small business applications were approved totalling almost $5.60 million. Of the 732 primary production enterprises approved assistance, 702 have been livestock or mixed livestock/grain operations, accounting for $4.82 million of funding provided.

Ninety-six small business applications have been approved at a total of $558,384, including 26 retail/wholesale outlets, 16 restaurants/hotels, 20 agricultural service/transport operations and 13 construction/trade businesses. It is anticipated that a considerable number of applications are yet to be submitted.

Special disaster flood assistance cont...

"I am pleased to note the overall success of the 2008 Special Disaster Flood Assistance Scheme which was capably administered by your office.

The widespread monsoonal flooding across much of the State meant that the scheme had a broader application both geographically and demographically than most."

Ken Smith, Director-General, Department of Premier and Cabinet, 25 January 2010

Audit report

The finalisation of the 2008 Special Disaster Flood Assistance Scheme audit was achieved in 2009-2010. The audit was undertaken to determine if grant funds provided were used in accordance with applicants' initial claims. Of the 3,168 successful applicants under the scheme, 160 (5%) randomly selected recipients participated in the audit.

The audit found the majority of funds provided were used for the purposes indicated, with only approximately 3.5% of the total funding sampled not being satisfactorily accounted for, resulting in the reimbursement of these funds to QRAA.

The conducting of this audit provided QRAA with valuable information as to how to improve the disbursement of funding under this program. QRAA provided a copy of the audit report together with its recommendations to DEEDI and the Office of the Premier and Cabinet. These recommendations were subsequently approved and have been introduced into the Special Disaster Flood Assistance (March 2010) program assessment criteria.

Pictured L-R: Kevin Wyatte (Biloela Farm Financial Counsellor), Karen Medway (Centrelink Rural Services Officer) and Brendan Hamilton (QRAA Rockhampton Client Liaison Officer) at the Theodore temporary office.

QRAA flood assistance

In March 2010, areas of South-West Queensland suffered the worst flooding in a century. In response, QRAA provided immediate support for the affected communities by participating in a range of community recovery methods.

This included supporting the whole-of-government flood recovery coordination centres at Roma, St George, Charleville, Quilpie, Mitchell, Surat and Dunkeld.

QRAA's Client Liaison Officers also travelled to Quilpie, Thargomindah, Eulo, Cunnamulla and Augathella for the Rural Financial Counsellor Service roadshow in conjunction with Centrelink and DEEDI.

QRAA's involvement ensured primary producers and small business owners had timely and accurate access to information on QRAA's programs and services, including Natural Disaster Relief and Recovery Assistance and Special Disaster Flood Assistance grants.

QRAA hosted temporary offices and information seminars at Banana and Theodore, following the extension of the flood grants for primary producers to include parts of the Banana Shire and the Central Highlands Regional Council. Representatives from Centrelink and the Rural and Farm Financial Counselling Services attended the seminars.

QRAA staff also participated in the following:

- community recovery meetings including economic sub-committees for Taroom and the Balonne Shire
- St George small business forum
- webinar presentations
- radio interviews.

QRAA fully appreciated the urgency and critical nature of this funding and assessed applications within short timeframes, some within four days from receipt. The impact of the funding grants have been evidenced in the community rebuilding phase.

QRAA recognised the significant impact of the flooding on businesses and offered the opportunity for current loan customers to have their loan repayments deferred.

Financial

FOCUS

Financial performance

Management discussion and analysis

Income statement

Operating result

QRAA recognises grant revenue upon receipt in accordance with Australian Accounting Standard AASB 1004 and as a result of this accounting treatment there is often significant time intervals between receipt of program funds and the distribution to clients. QRAA's annual operating result is often materially affected and at variance with approved budgets and estimates as a result of these timing differences.

QRAA's 2009-2010 operating deficit of $26.64 million reflects the full impact of timing differences caused by the receipt of funds and client payments for specific programs occurring in different financial years.

Operating revenue

QRAA receives contributions from the Australian and Queensland Governments to fund various programs it administers, based on agreements between QRAA and the program owners.

Total revenue decreased in 2009-2010 to $42.03 million. Grants and other contributions decreased from $150.52 million to $20.78 million. This decrease was attributable to the significant reduction in demand for grants under the Exceptional Circumstances program, Natural Disaster Relief and Recovery Assistance Schemes together with the completion of the Moreton Bay Structural Adjustment Package and Additional Irrigators Fixed Water Charges Rebate Scheme.

Included in the contributions paid to QRAA are specific fees paid for QRAA to assess applications for assistance. Specific fees were received for the administration of schemes including Additional Irrigators Fixed Water Charges Rebate Scheme, the Exceptional Circumstances program and the Traveston Crossing and Wyaralong Dam Business Adjustment Scheme.

FINANCIAL FIVE YEAR TREND					
	2005-2006	2006-2007	2007-2008	2008-2009	2009-2010
	($'000)	($'000)	($'000)	($'000)	($'000)
Total income	147,484	268,812	307,381	174,119	42,034
Operating surplus	30,302	40,151	4,367	4,643	(26,639)
Grants and subsidies paid	109,061	212,863	289,173	154,904	56,416
Loans and advances	170,663	270,008	292,447	281,993	283,244

A contribution of $8.18 million towards the overall administration of QRAA was received from the Queensland Government. No fees are charged directly to our customers either for processing applications or for ongoing management of their loans.

Interest is earned by QRAA both on loans that it makes to its customers ($15.52 million) and funds it is holding for use in the various programs it administers ($5.35 million). All interest earned is redirected to the programs and is not used by QRAA to meet its administrative costs.

Operating expenses

The major expenditure item is grants and interest subsidies paid to customers under programs QRAA administers. This item decreased from $154.90 million to $56.42 million in 2009-2010. This decrease corresponds with the reduction in the amount of grants and other contributions revenue in 2009-2010.

Employee expenses decreased from $8.26 million to $7.44 million in 2009-2010 reflecting the reduction in employee numbers as a result of the workforce review and the departure of a number of casual and temporary staff. Supplies and services expenses also reduced, from $2.93 million to $2.51 million as a result of productivity gains.

Financial position

Assets

Total customer loans increased from $281.99 million in 2008-2009 to $283.24 million in 2009-2010 reflecting lending growth offset by a number of loans paid out ahead of their respective terms.

Customer loans approved under Productivity Loans increased from $180.30 million in 2008-2009 to $198.57 million in 2009-2010. Customer loans approved for Natural Disaster Relief and Recovery Assistance decreased from $92.33 million in 2008-2009 to $77.21 million in 2009-2010.

Liabilities

Total external borrowings reduced from $162.91 million in 2008-2009 to $149.02 million in 2009-2010. This reduction reflected the small amount of new borrowings from the Australian and Queensland Governments to fund customers under Natural Disaster Relief and Recovery Assistance, offset by the loan repayments made by QRAA. During the year, $16.28 million of borrowings was redeemed and repaid to QRAA external lenders.

Statement of comprehensive income

for the year ended 30 June 2010

	Notes	2010 $'000	2009 $'000
Income			
Revenue			
Grants and other contributions	2	20,774	150,515
Interest earned on loans and advances	3	15,523	16,046
Interest earned from investments	4	5,353	5,819
Other revenue	5	7	11
Total revenue		**41,657**	**172,391**
Other Income			
Reduction in allowance of provision for bad debts	10	169	-
Reduction in allowance of provision for impaired debt	10	208	1,728
Total Income		**42,034**	**174,119**
Expenses			
Employee expenses	6	7,435	8,262
Supplies and services	7	2,505	2,931
Grants and subsidies	8	56,416	154,904
Depreciation	9(a)	238	195
Amortisation	9(b)	68	57
Finance costs	11	1,613	2,110
Charge for impaired loans	10	-	314
Bad debt written off	10	398	703
Total Expenses		**68,673**	**169,476**
Operating (Deficit)/Surplus		**(26,639)**	**4,643**
Other comprehensive income		-	-
Total comprehensive income for the year		**(26,639)**	**4,643**

The accompanying notes form part of these statements.

Statement of financial position
as at 30 June 2010

	Notes	2010 $'000	2009 $'000
Current Assets			
Cash and cash equivalents	12	101,672	135,608
Loans and advances	13	26,994	23,186
Receivables	14	3,747	10,641
Prepayments	15	41	109
Total Current Assets		**132,454**	**169,544**
Non-Current Assets			
Loans and advances	13	256,250	258,807
Plant and equipment	16	846	665
Intangible Assets	17	12	80
Total Non-Current Assets		**257,108**	**259,552**
Total Assets		**389,562**	**429,096**
Current Liabilities			
Payables	18	88,388	7,213
Other financial liabilities	19	65,671	18,290
Accrued employee benefits	20	1,148	1,148
Total Current Liabilities		**155,207**	**26,651**
Non-Current Liabilities			
Payables	18	-	80,220
Other financial liabilities	19	83,350	144,616
Accrued employee benefits	20	302	267
Total Non-Current Liabilities		**83,652**	**225,103**
Total Liabilities		**238,859**	**251,754**
Net Assets		**150,703**	**177,342**
Equity			
Accumumlated surplus		150,703	177,342
Total Equity		**150,703**	**177,342**

The accompanying notes form part of these statements.

Statement of changes in equity
for the year ended 30 June 2010

	2010 $'000	2009 $'000
Accumulated Surplus		
Balance as at 1 July	177,342	172,699
Total comprehensive income for the year	(26,639)	4,643
Balance as at 30 June	**150,703**	**177,342**

The accompanying notes form part of these statements.

Statement of cash flows

for the year ended 30 June 2010

	Notes	2010 $'000	2009 $'000
Cash flows from operating activities			
Inflows:			
Grants and contributions - Queensland Government		23,788	60,934
Grants and contributions - Australian Government		3,139	91,642
Interest received on investments		4,723	5,819
Interest received on loans and advances		15,795	15,520
GST collected from customers		111	2,446
GST input tax credits from ATO		5,830	11,765
Other		7	11
Outflows:			
Grants and subsidies		(62,501)	(154,287)
Employee expenses		(7,461)	(10,875)
Supplies and services		(2,317)	(3,117)
Borrowing costs		(1,613)	(2,110)
GST paid to suppliers		(4,732)	(12,114)
GST remitted to ATO		(1,128)	(1,472)
Net cash (used in) provided by operating activities	21	**(26,359)**	**4,162**
Cash flows from investing activities			
Inflows:			
Loans and advances repaid		62,269	60,042
Outflows:			
Payments for plant and equipment		(419)	(297)
Loans and advances made		(63,541)	(48,876)
Net cash (used in) providing by investing activities		**(1,691)**	**10,869**
Cash flows from financing activities			
Inflows:			
Borrowings		10,390	14,066
Outflows:			
Borrowing redemptions		(16,276)	(16,540)
Net cash used in financing activities		**(5,886)**	**(2,474)**
Net (decrease) increase in cash and cash equivalents		(33,936)	12,557
Cash and cash equivalents at beginning of financial year		135,608	123,051
Cash and cash equivalents at end of financial year	12	**101,672**	**135,608**

The accompanying notes form part of these statements.

Objectives and principal activities

QRAA was established as a statutory body under the *Rural and Regional Adjustment Act 1994*.

The objective of QRAA is to be the preferred provider of financial programs to rural and regional Queensland on behalf of the Australian and Queensland Governments. The principal activity of QRAA is to provide primary producers and small businesses with loans and subsidies including concessional productivity loans, industry adjustment programs, drought and natural disaster programs, small business emergency assistance, training and skills development assistance and regional development programs.

Note 1. Summary of significant accounting policies

(a) Statement of compliance

QRAA has prepared these financial statements in compliance with section 42 of the *Financial and Performance Management Standard 2009*.

These financial statements are general purpose financial statements, and have been prepared on an accrual basis in accordance with Australian Accounting Standards and Interpretations. In addition, the financial statements comply with Treasury's Minimum Reporting Requirements for the year ended 30 June 2010, and other authoritative pronouncements.

With respect to compliance with Australian Accounting Standards and Interpretations, QRAA has applied those requirements applicable to not-for-profit entities, as QRAA is a not-for-profit statutory body. Except where otherwise stated, the historical cost convention is used.

(b) Grants and contributions

Funds which are allocated to QRAA by the Government and are controlled by QRAA are recognised as revenues in the year in which QRAA gains control of the funds. This is generally on receipt with the exception of repayable advances received from governments for purposes of making loans.

(c) Cash and cash equivalents

For the purpose of the Statement of Financial Position and the Statement of Cash Flows, cash assets include all cash and cheques receipted but not banked at 30 June as well as deposits at call with financial institutions. It also includes investments with short periods of maturity that are readily convertible to cash on hand at QRAA's option and that are subject to a low risk of changes in value.

(d) Receivables

Receivables are recognised at the amount due at the time the amount is advanced. Interest earned on receivables is taken to account as it accrues.

Collateral in the form of mortgages, charges and liens are held as security against the loans.

(e) Bad and impaired debts

The collectability of receivables is assessed periodically with a provision being made for impairment. A specific provision for impaired debts has been raised for all identifiable doubtful debts based upon the likely shortfall between the outstanding amount and the expected proceeds of property secured by mortgage.

Outstanding receivables are written off as bad debts at 30 June when there is no likelihood of recovery and the outstanding amount exceeds the expected recovery from realisation of any security.

(f) Acquisition of assets

Actual cost is used for the initial recording of all non-current physical and intangible asset acquisitions. Cost is determined as the value given as consideration plus costs incidental to the acquisition, including all other costs incurred in getting the asset ready for use. However, any training costs are expensed as incurred.

(g) Plant and equipment

All items of plant and equipment with a cost or other value equal to the asset recognition of $5,000 are recognised for financial reporting purposes in the year of acquisition. Items of a lesser value are expensed in the year of acquisition.

(h) Revaluation and depreciation of non-current assets

Land, buildings, infrastructure, major plant and equipment, and heritage and cultural assets are measured at fair value in accordance with AASB 116 *Property, Plant and Equipment* and Queensland Treasury's *Non-Current Asset Policies for the Queensland Public Sector.* At present, QRAA does not hold any assets that belong to these categories.

Plant and equipment, other than major plant and equipment, are measured at cost in accordance with Treasury's *Non-Current Asset Policies*. The carrying amounts for plant and equipment at cost should not materially differ from their fair value.

Separately identified components of assets are measured on the same basis as the assets to which they relate.

Items of plant and equipment are depreciated over their estimated useful lives using the straight-line method of depreciation. For each class of depreciable asset the following depreciation rates were used:

Class	Depreciation rates
Computer equipment	40%
Office equipment	10% - 17%
Furniture and fittings	10% - 13%
Leasehold improvements	17%
Motor vehicles	25% - 33.3%

(i) Intangible assets

All intangible assets with a cost or value greater than $100,000 are recognised in the financial statements, with items of a lesser value being expensed. Each intangible asset is amortised over its estimated useful life to QRAA less any anticipated residual value. The residual value is zero for all of QRAA's intangible assets.

Note 1. Summary of significant accounting policies (continuation)

Costs associated with the development of computer software are capitalised and amortised on a straight-line basis over the period of expected benefit to QRAA, namely five years.

(j) Impairment of non-current assets

All non-current physical and intangible assets are assessed for indicators of impairment on an annual basis. If an indicator of possible impairment exists, QRAA determines the asset's recoverable amount. Any amount by which the asset's carrying amount exceeds the recoverable amount is recorded as an impairment loss.

The asset's recoverable amount is determined as the higher of the asset's fair value less costs to sell and depreciated replacement cost.

An impairment loss is recognised immediately in the Statement of Comprehensive Income, unless the asset is carried at a revalued amount. When the asset is measured at a revalued amount, the impairment loss is offset against the asset revaluation reserve of the relevant class to the extent available.

Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset in prior years. A reversal of an impairment loss is recognised as income, unless the asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

(k) Leases

A distinction is made in the financial statements between finance leases, that effectively transfer from the lessor to the lessee substantially all the risks and benefits incidental to ownership, and operating leases under which the lessor retains substantially all risks and benefits.

Where a non-current physical asset is acquired by means of a finance lease, the asset is recognised at an amount equal to the lower of the fair value of the leased property and the present value of minimum lease payments. The liability is recognised at the same amount. Lease payments are allocated between the principal component and the interest expense.

Operating lease payments are representative of the pattern of benefits derived from the leased assets and accordingly, are charged to the income statement in the periods in which they are incurred.

(l) Payables

Trade creditors are recognised upon receipt of the goods or services ordered and are measured at the nominal amount i.e. agreed purchase/contract price, gross of applicable trade and other discounts. Amounts owing are unsecured and are generally settled on 30 day terms.

(m) Financial instruments

Recognition

Financial assets and financial liabilities are recognised in the Statement of Financial Position when QRAA becomes party to the contractual provisions of the financial instrument.

Classification

Financial instruments are classified and measured as follows:

- cash and cash equivalents – held at fair value through profit or loss
- receivables – held at amortised cost
- held to maturity investment – held at amortised cost
- payables – held at amortised cost
- borrowings – held at amortised cost

Borrowings are initially recognised at fair value, plus any transaction costs directly attributable to the borrowings, then subsequently held at amortised cost using the effective interest method. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of a financial instrument (or, when appropriate, a shorter period) to the net carrying amount of that instrument.

Any borrowing costs are added to the carrying amount of the borrowing to the extent they are not settled in the period in which they arise. Borrowings are classified as non-current liabilities to the extent that the department has an unconditional right to defer settlement until at least 12 months after reporting date.

QRAA does not enter into transactions for speculative purposes, nor for hedging. Apart from cash and cash equivalents, QRAA holds no financial assets classified at fair value through profit or loss.

All other disclosures relating to the measurement and financial risk management of financial instruments held by QRAA are included in Note 22.

(n) Employee benefits

Employer superannuation contributions, annual leave and long service leave are regarded as employee benefits.

Payroll tax and workers' compensation insurance are a consequence of employing employees, but are not counted in an employee's total remuneration package. They are not employee benefits and are recognised separately as employee related expenses.

Wages, Salaries, Recreation Leave, Long Service Leave and Sick Leave

Wages, salaries, recreation leave and long service leave due but unpaid at reporting date are recognised in the Statement of Financial Position at the remuneration rates expected to apply at the time of settlement and include related on-costs such as payroll tax, WorkCover premiums and employer superannuation contributions.

For unpaid entitlements expected to be paid within 12 months, the liabilities are recognised at their undiscounted values. Entitlements not expected to be paid within 12 months are classified as non-current liabilities and recognised at their present value, calculated using yields on Fixed Rate Government Bonds of similar maturity, after projecting the remuneration rates expected to apply at the time of likely settlement.

Prior history indicates that on average, sick leave taken in each reporting period is less than the entitlement accrued. This is expected to continue in future periods. Accordingly, it is unlikely that existing accumulated entitlements will be used by employees and no liability for unused sick leave entitlements is recognised.

Note 1. Summary of significant accounting policies (continuation)

As sick leave is non-vesting, an expense is recognised for this as it is taken.

Superannuation

Employer superannuation contributions are paid to QSuper, the superannuation plan for Queensland Government employees, at rates determined by the Treasurer on the advice of the State Actuary. Contributions are expensed in the period that they are paid or payable. QRAA's obligation is limited to its contribution to QSuper.

Therefore, no liability is recognised for accruing superannuation benefits in QRAA's financial statements, the liability being held on a whole-of-Government basis and reported in the whole-of-Government financial report prepared pursuant to AASB 1049 – *Whole-of-Government and General Government Sector Financial Reporting*.

(o) Provisions

Provisions are recorded when QRAA has a present obligation, either legal or constructive as a result of a past event. They are recognised at the amount expected at reporting date for which the obligation will be settled in a future period. Where the settlement of the obligations is expected after 12 or more months, the obligation is discounted to the present value using an appropriate discount rate.

(p) Other financial liabilities

Interest-bearing liabilities payable are recognised at book value as the amount contractually owing.

All borrowing expenses are accounted for on an accrual basis in the Statement of Comprehensive Income using the effective interest rate method and are added to the carrying amount of the borrowing to the extent they are not settled in the period in which they arise.

(q) Financing/borrowing costs

Finance costs are recognised as an expense in the period in which they are incurred.

Finance costs include:

- interest on bank overdrafts and short-term and long-term borrowings;
- finance lease charges;
- amortisation of discounts or premiums relating to borrowings; and
- ancillary administration charges.

No borrowing costs are capitalised into qualifying assets.

(r) Taxation

QRAA is a State body as defined under the *Income Tax Assessment Act 1936* and is exempt from Commonwealth taxation with the exception of Fringe Benefits Tax (FBT) and Goods and Services Tax (GST). FBT and GST are the only taxes accounted for by QRAA. GST credits receivable from, and GST payable to the ATO, are recognised.

(s) Issuance of financial statements

The financial statements are authorised for issue by the Chairperson and the Chief Executive Officer at the date of signing the QRAA Certificate.

(t) Judgements

The preparation of financial statements necessarily requires the determination and use of certain critical accounting estimates, assumptions, and management judgements that have the potential to cause a material adjustment to the carrying amounts of assets and liabilities within the next financial year. Such estimates, judgements and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in future periods as relevant.

QRAA has made no judgements or assessments which may cause a material adjustment to the carrying amounts of assets and liabilities within the next reporting period.

(u) Rounding and comparatives

Amounts included in the financial statements are in Australian dollars and have been rounded to the nearest $1,000 or where that amount is $500 or less, to zero, unless disclosure of the full amount is specifically required.

Comparative information has been restated where necessary to be consistent with the disclosures in the current reporting period.

(v) New and revised accounting standards

QRAA did not voluntarily change any of its accounting policies during 2009-2010.

QRAA complied with the revised AASB 101 *Presentation of Financial Statements* as from 2009-2010. This revised standard does not have any measurement or recognition implications. Pursuant to the change of terminology used in the revised AASB 101, the Balance Sheet is now re-named to the Statement of Financial Position and the Cash Flow Statement has now been re-named to Statement of Cash Flows. The former Income Statement has been replaced by a Statement of Comprehensive Income.

QRAA is not permitted to early adopt a new or amended accounting standard ahead of the specified commencement date unless approval is obtained from the Treasury Department. Consequently, QRAA has not applied any Australian accounting standards and interpretations that have been issued but are not yet effective. QRAA applies these standards and interpretations in accordance with their respective commencement dates.

At the date of authorisation of the financial report, the only significant impacts of new or amended Australian accounting standards with future commencement dates are as set out below.

AASB 2009 – 5 *Amendments to Australian Accounting Standards arising from the Annual Improvements Project* includes certain amendments to AASB 117 Leases, effective from reporting periods beginning on or after 1 January 2010.

Note 1. Summary of significant accounting policies (continuation)

AASB 9 *Financial Instruments and AASB 2009-11 Amendments to Australian Accounting Standards arising from AASB 9* [AASB 1, 3, 4, 5, 7, 101, 102, 108, 112, 118, 121, 127, 128, 131, 132, 136, 139, 1023 & 1038 and Interpretations 10 & 12] become effective from reporting periods beginning on or after 1 January 2013. The main impacts of these standards are that they will change the requirements for the classification, measurement and disclosures associated with financial assets.

Under the new requirements, financial assets will be more simply classified according to whether they are measured at either amortised cost or fair value. Pursuant to AASB 9, financial assets can only be measured at amortised cost if two conditions are met.

One of these conditions is that the asset must be held within a business model whose objective is to hold assets in order to collect contractual cash flows. The other condition is that the contractual terms of the asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial application of AASB 9, QRAA will need to re-assess the measurement of its financial assets against the new classification and measurement requirements, based on the facts and circumstances that exist at that date. Assuming no change in the types of transactions QRAA enters into, it is not expected that any of QRAA's other financial assets will meet the criteria in AASB 9 to be measured at amortised cost. Therefore, as from the 2013-2014 financial statements, all of QRAA's assets will be required to be classified as "financial assets required to be measured at fair value through profit or loss" (instead of the measurement classifications presently used in notes 1(m) and 22. The same classification will be used for net gains/losses recognised in the Statement of Comprehensive Income in respect of those financial assets. In the case of QRAA's receivables, the carrying amount is considered to be a reasonable approximation of fair value.

All other Australian accounting standards and interpretations with future commencement dates are either not applicable to QRAA, or have no material impact on QRAA.

Note 2. Grants and other contributions

The Australian and Queensland Governments contribute to the funding of the various schemes of assistance depending upon the nature of the scheme and the arrangements under the agreements between the Australian and Queensland Governments. The State's contributions are made by a number of government agencies, mainly Queensland Treasury, the Department of Employment, Economic Development and Innovation, Queensland Primary Industries and Fisheries and the Department of Environment and Resource Management.

	2010 $'000	2009 $'000
(a) Queensland Government contributions		
Administration	8,175	7,836
AAA FarmBis	-	230
Drought Rate Rebate Scheme	-	807
Irrigators Fixed Water Charges Rebate Scheme	-	453
Additional Irrigators Fixed Water Charges Rebate Scheme	250	155
Moreton Bay Marine Park Structural Adjustment Package	-	12,474
Natural Disaster Relief and Recovery Assistance	8,260	25,231
Queensland Commercial Horse Small Business Emergency Assistance Scheme	-	63
Rural Adjustment Scheme - Exceptional Circumstances	321	9,904
Small Business Emergency Assistance	-	382
Traveston Crossing/Wyaralong Dams Business Adjustment Sheme	716	1,251
Other Schemes	10	87
	17,732	**58,873**
(b) Australian Government contributions		
AAA FarmBis	-	211
Rural Adjustment Scheme - Exceptional Circumstances	3,042	91,431
	3,042	**91,642**
	20,774	**150,515**

Note 3. Interest earned on loans and advances

	2010 $'000	2009 $'000
Citrus Industry Reimbursement and Recovery Scheme	-	2
Coral Reef Fishery Temporary Assistance Scheme	17	37
Emergency Assistance-Drought Carry-On and Recovery	522	725
Natural Disaster Relief and Recovery Assistance	3,166	2,204
Primary Industry Productivity Enhancement Scheme	11,783	13,028
Sugar Cane Crop Scheme	-	1
Young Farmers Establishment	35	49
	15,523	**16,046**

Note 4. Interest earned from investments

		2010	2009
		$'000	$'000
Development Incentive		-	10
Drought Rate Rebate Scheme		-	(20)
Great Barrier Reef Marine Park Structural Adjustment Package		296	876
Irrigators Fixed Water Charges Rebate Scheme		-	(7)
Rural Adjustment Scheme - Exceptional Circumstances		519	664
Vegetation Management Framework		147	954
Other	(i)	4,391	3,342
		5,353	**5,819**

(i) Interest earned on funds invested under the schemes as detailed above accrues directly to those schemes to be used for the purposes of those schemes. All other interest earned becomes revenue of QRAA to be used as directed by the State.

Note 5. Other revenue

	2010	2009
	$'000	$'000
Recovery of security expenses	6	7
Other	1	4
	7	**11**

Note 6. Employee expenses

	2010	2,009
	$'000	$,000
Wages and salaries	5,486	6,128
Employer superannuation contributions	749	800
Annual and long service leave	648	753
Other	552	581
	7,435	**8,262**

The number of employees including both full-time employees and part-time employees measured on a full-time equivalent basis is:

	2010	2009
Number of employees	75	98

Notes
to and forming part of the financial statements 2009-2010

Note 7. Supplies and services

	2010 $'000	9 2009 $'000
Advertising and promotion	66	50
Audit fees - external	40	37
Audit fees - internal	47	57
Bank and investment fees	115	121
Board members fees	80	70
Computer expenses	258	220
Consultancies	217	247
Insurance	96	90
Motor vehicle expenses	303	376
Photocopying	23	33
Postage	46	64
Printing	48	58
Professional and legal expenses	12	21
Rent	581	552
Securities expenses	82	66
Stationery	15	29
Telephone and fax	131	167
Travel and accommodation	102	117
Other	243	556
	2,505	**2,931**

Total external audit fees relating to the 2010-2009 financial year are estimated to be $39,795 (2008-2009: $37,000). There are no non-audit services included in this amount.

Note 8. Grants and subsidies

Assistance was provided to primary producers and small business in the form of interest subsidies or grants. Other incidental costs that may be incurred in the guidelines relating to individual schemes are also included.

	2010 $'000	2009 $'000
AAA FarmBis	-	574
Citrus Industry Reimbursement and Recovery Scheme	-	4
Drought Rate Rebate Scheme	-	578
Great Barrier Reef Marine Park Structural Adjustment Package	4,994	18,250
Irrigators Fixed Water Charges Rebate Scheme	-	67
Additional Irrigators Fixed Water Charges Rebate Scheme	17	560
Moreton Bay Marine Park Structural Adjustment Package	-	12,279
Natural Disaster Relief and Recovery Assistance	10,334	19,698
Small Business Emergency Assistance	28	162
Traveston Crossing/Wyaralong Dams Business Adjustment Scheme	493	1,162
Rural Adjustment Scheme - Exceptional Circumstances	32,678	81,140
Vegetation Management Framework	7,872	19,813
Other Queensland Primary Industries and Fisheries Schemes	-	617
	56,416	**154,904**

Note 9. Depreciation and amortisation

	2010 $'000	2009 $'000
(a) Depreciation		
Computer equipment	31	39
Leasehold improvements	151	143
Motor vehicles	44	-
Office equipment	12	13
	238	**195**
(b) Amortisation		
Computer software	**68**	**57**

Note 10. Movements in the allowance of provision for impairment

	2,010 $'000	2,009 $'000
Balance 1 July	1,422	2,836
Charged to income statement - specific provision	(169)	314
Impairment losses	(208)	(1,728)
Balance at 30 June	**1,045**	**1,422**

Bad debts written off during the year were:

Natural Disaster Relief and Recovery Assistance	398	81
Primary Industry Productivity Enhancement Scheme	-	622
	398	**703**

The balance of $1.045 million for bad and impaired debts includes $1.043 million for specific provisions and $0.002 million for impaired debts relating to Natural Disaster Relief and Recovery Assistance loans.

Note 11. Finance costs

	2010 $'000	2009 $'000
Emergency Assistance - Drought Carry On and Recovery	412	514
Natural Disaster Relief and Recovery Assistance	1,201	1,596
	1,613	**2,110**

Finance costs represent interest paid to Queensland Treasury Corporation (Emergency Assistance – Drought Carry On and Drought Recovery) and the Australian Government (Natural Disaster Relief and Recovery Assistance).

Note 12. Cash and cash equivalents

This item includes cash and funds on short-term deposit. The amounts of cash and deposits are accounted for individually within the various schemes of assistance administered by QRAA.

	2010 $'000	2009 $'000
Administration	16,101	16,106
Coral Reef Fishery Temporary Assistance Scheme	608	462
Development Incentive	-	199
Drought Rate Rebate Scheme	-	(53)
Emergency Assistance - Drought Carry-On and Recovery	62	(247)
Great Barrier Reef Marine Park Structural Adjustment Package	4,274	9,007
Irrigators Fixed Water Charges Rebate Scheme	-	189
Additional Irrigators Fixed Water Charges Rebate Scheme	-	(405)
Natural Disaster Relief and Recovery Assistance	19,089	16,705
Primary Industry Productivity Enhancement Scheme	43,251	41,518
Rural Adjustment Scheme - Exceptional Circumstances	2,768	32,454
Sugar Cane Crop Scheme	585	574
Tourism Assistance Package	473	473
Traveston Crossing/Wyaralong Dams Business Adjustment Scheme	11	(104)
Vegetation Management Framework	399	8,150
Young Farmers Establishment	2,277	1,984
Reserves	11,774	8,596
	101,672	**135,608**

Cash surplus to immediate requirements is invested according to the guidelines in the *Rural and Regional Adjustment Act 1994* and the *Statutory Bodies Financial Arrangements Act 1982*.

Cash and deposits held at the end of the year are:

	2010 $'000	2009 $'000
Cash at bank	117	356
Queensland Treasury Corporation - 24 hour call account	50,911	135,252
Suncorp term deposit	50,644	-
	101,672	**135,608**

Cash deposited with the Queensland Treasury Corporation earned interest at rates between 3.36% and 5.27% (2009: 3.28% to 8.50%) and cash deposited with Suncorp earned interest at rates between 4.76% and 5.97%.

Note 13. Loans and advances

Loans and advances are made to primary producers and small business at either a concessional or commercial interest rate.

2010	Gross $'000	Provision for Impairment $'000	Current $'000	Non-Current $'000	2010 Total $'000
Citrus Industry Reimbursement and Recovery Scheme	1,000	-	-	1,000	1,000
Coral Reef Fishery Temporary Assistance Scheme	206	-	104	102	206
Emergency Assistance - Drought Carry-On and Recovery	6,865	-	1,696	5,169	6,865
Natural Disaster Relief and Recovery Assistance	77,205	606	11,849	64,750	76,599
Primary Industry Productivity Enhancement Scheme	198,570	439	13,223	184,908	198,131
Young Farmers Establishment	443	-	122	321	443
	284,289	**1,045**	**26,994**	**256,250**	**283,244**

2009	Gross $'000	Provision for Impairment $'000	Current $'000	Non-Current $'000	2009 Total $'000
Citrus Industry Reimbursement and Recovery Scheme	1,000	-	-	1,000	1,000
Coral Reef Fishery Temporary Assistance Scheme	334	-	125	209	334
Emergency Assistance - Drought Carry-On and Recovery	8,743	-	2,121	6,622	8,743
Natural Disaster Relief and Recovery Assistance	92,326	1,128	9,480	81,718	91,198
Primary Industry Productivity Enhancement Scheme	180,303	294	11,311	168,698	180,009
Sugar Cane Crop Scheme	11	-	11	-	11
Young Farmers Establishment	698	-	138	560	698
	283,415	**1,422**	**23,186**	**258,807**	**281,993**

The movement in the provision for impairment is shown in Note 10.

Note 14. Receivables

	2010	2009
	$000	$000
Other receivables		
GST receivable	270	1,369
Grants receivable	29	6,182
	299	**7,551**
Accrued Interest - bank	**630**	**-**
Accrued interest - loans and advances		
Coral Reef Fishery Temporary Assistance Scheme	1	1
Emergency Assistance - Drought Carry-On and Recovery	114	159
Natural Disaster Relief and Recovery Assistance	327	333
Primary Industry Productivity Enhancement Scheme	2,371	2,589
Young Farmers Establishment	5	8
	2,818	**3,090**
	3,747	**10,641**

Note 15. Prepayments

	2010	2009
	$'000	$'000
Prepaid expenses	41	109
	41	**109**

Note 16. Plant and equipment

	2010 $'000	2009 $'000
Computer equipment - at cost	228	330
Less : Accumulated depreciation	205	299
	23	**31**
Leasehold improvements - at cost	894	894
Less : Accumulated depreciation	451	300
	443	**594**
Motor vehicles - at cost	396	-
Less : Accumulated depreciation	44	-
	352	**-**
Office equipment - at cost	240	240
Less : Accumulated depreciation	212	200
	28	**40**
	846	**665**

Reconciliations

Reconciliations of the carrying amounts of each class of asset are set out below:

	2010 $'000	2009 $'000
Computer equipment		
Carrying amount at start of year	31	55
Additions	23	15
Depreciation	(31)	(39)
Carrying amount at end of year	**23**	**31**
Leasehold improvements		
Carrying amount at start of year	594	483
Additions	-	254
Depreciation	(151)	(143)
Carrying amount at end of year	**443**	**594**
Motor vehicles		
Carrying amount at start of year	-	-
Additions	396	-
Depreciation	(44)	-
Carrying amount at end of year	**352**	**-**
Office equipment		
Carrying amount at start of year	40	52
Additions	-	-
Depreciation	(12)	(12)
Carrying amount at end of year	**28**	**40**

Note 17. Intangible assets

	2010 $'000	2009 $'000
Computer software purchased - at cost	982	982
Less : Accumulated amortisation	(970)	(902)
	12	**80**

Reconciliations

Reconciliations of the carrying amounts are set out below:

	2010 $'000	2009 $'000
Computer software		
Carrying amount at start of year	80	110
Additions	-	27
Amortisation	(68)	(57)
Carrying amount at end of year	**12**	**80**

Note 18. Payables

		2010 $'000	2009 $'000
Current			
Creditors and accruals		159	41
Accrued employee costs		-	61
GST payable		9	1,026
Grants payable		-	6,085
Other	(i)	88,220	-
		88,388	**7,213**
Non-Current			
Other		-	80,220
		-	**80,220**

(i) Other payables (current) of $88.22 million represents funds provided by the Department of Employment, Economic Development and Innovation, Queensland Primary Industries and Fisheries for various State programs (refer note 26).

Note 19. Other financial liabilities

Interest bearing liabilities	2010 $'000	2009 $'000
Current		
Emergency Assistance - Drought Carry On and Recovery	1,905	1,785
Natural Disaster Relief and Recovery Assistance	7,328	8,821
	9,233	**10,606**
Non-current		
Emergency Assistance - Drought Carry On and Recovery	3,394	5,238
Natural Disaster Relief and Recovery Assistance	42,177	47,529
	45,571	**52,767**
Non-interest bearing liabilities		
Current		
Natural Disaster Relief and Recovery Assistance	7,006	7,684
Primary Industry Productivity Enhancement Scheme	49,432	-
	56,438	**7,684**
Non-current		
Natural Disaster Relief and Recovery Assistance	37,779	42,417
Primary Industry Productivity Enhancement Scheme	-	49,432
	37,779	**91,849**

Interest bearing funds of $5.30 million for Emergency Assistance – Drought Carry On and Recovery are borrowed from Queensland Treasury Corporation and interest bearing funds of $49.50 million for Natural Disaster Relief and Recovery Assistance programs are borrowed from the Australian Government. All borrowings are unsecured.

Non-interest bearing funds for Natural Disaster Relief and Recovery Assistance and the Primary Industry Productivity Enhancement Scheme programs are borrowed from the Queensland Government.

Note 20. Accrued employee benefits

	2010 $'000	2009 $'000
Current		
Annual leave	376	438
Long service leave	772	710
	1,148	**1,148**
Non-Current		
Annual Leave	76	82
Long service leave	226	185
	302	**267**

The discount rate used to calculate the present value of annual leave is 4.45% and for long service leave 4.45% to 5.10%.

Note 21. Reconciliation of operating (deficit) surplus to net cash from operating activities

	2010 $'000	2009 $'000
Operating (Deficit) Surplus	**(26,639)**	**4,643**
Non-cash items		
Amortisation expense	68	57
Depreciation expense	238	195
Impaired debts	21	(711)
Change in assets and liabilities		
Increase in accrued interest	(358)	(526)
Decrease in receivables	7,252	3,303
Decrease (increase) in prepayments	68	(7)
Decrease in payables and accrued employee benefits	(7,009)	(2,792)
Net cash from operating activities	**(26,359)**	**4,162**

Note 22. Financial instruments

(a) Categorisation of financial instruments

QRAA has the following categories of financial assets and financial liabilities:

Category	2010 $'000	2009 $'000
Financial assets		
Cash and cash equivalents	101,672	135,608
Loans and advances	283,244	281,993
Total	**384,916**	**417,601**
Financial liabilities		
Financial liabilities measured at amortised cost:		
Payables	88,388	87,433
Other financial liabilities	149,021	162,906
Total	**237,409**	**250,339**

(b) Financial risk management

QRAA's activities expose it to a variety of financial risks – interest rate risk, credit risk, liquidity risk and market risk.

Financial risk management is implemented pursuant to Government and QRAA's policy. These policies focus on the unpredictability of financial markets and seek to minimise potential adverse effects on the financial performance of QRAA.

Financial risk is managed by the Finance and Program Delivery business units under policies approved by QRAA. QRAA provides written principles for overall risk management, as well as policies covering specific areas.

Note 22. Financial instruments (continuation)

QRAA measures risk exposure using a variety of methods as follows –

Risk exposure	Measurement method
Credit risk	Ageing analysis, earnings at risk
Liquidity risk	Sensitivity analysis
Market risk	Interest rate sensitivity analysis

(c) Credit Risk Exposure

Credit risk exposure refers to the situation where QRAA may incur financial loss as a result of another party to a financial instrument failing to discharge their obligation.

The maximum exposure to credit risk at balance date in relation to each class of recognised financial assets is the gross carrying amount of those assets inclusive of any provisions for impairment.

The following table represents QRAA's maximum exposure to credit risk based on contractual amounts net of any allowances:

Maximum exposure to credit risk

	2010 $'000	2009 $'000
Financial assets		
Loans and advances	283,244	281,993
Receivables	3,747	10,641
	286,991	**292,634**

Financial assets

QRAA manages credit risk through the use of a credit management strategy. This strategy aims to reduce the exposure to credit default by ensuring that QRAA invests in secure assets and monitors all funds owed on a timely basis. Exposure to credit risk is monitored on an ongoing basis.

No financial assets and financial liabilities have been offset and presented net in the Statement of Financial Position.

The method for calculating any provision for impairment is based on past experience, current and expected changes in economic conditions and changes in client credit ratings. The main factors affecting the current calculation for provisions are disclosed below as loss events. These economic and geographic changes form part of the QRAA's documented risk analysis assessment in conjunction with historic experience and associated industry data.

The recognised provision for impairment is $1.05 million for the current year. This is a decrease of $0.38 million from 2009 and is due to the end of two year interest free period loans for the Natural Disaster Relief and Recovery Arrangement – Tropical Cyclone Larry and a reduction in specific provisions.

No financial assets have had their terms renegotiated so as to prevent them from being past due or impaired, and are stated at the carrying amounts as indicated.

Ageing of past due but not impaired as well as impaired financial assets are disclosed in the following tables:

	Overdue				
	Less than 30 days	30 - 60 days	61 - 90 days	More than 90 days	Total
2010	$'000	$'000	$'000	$'000	$'000
Financial assets past due but not impaired					
Loans and advances	625	183	279	953	2,040

	Overdue				
	Less than 30 days	30 - 60 days	61 - 90 days	More than 90 days	Total
2009	$'000	$'000	$'000	$'000	$'000
Financial assets past due but not impaired					
Loans and advances	119	48	42	1,754	1,963

	Overdue				
	Less than 30 days	30 - 60 days	61 - 90 days	More than 90 days	Total
2010	$'000	$'000	$'000	$'000	$'000
Individually impaired financial assets					
Loans and advances (gross)	11	22	11	168	212
Provision for impairment	(8)	(19)	(8)	(138)	(173)
Carrying amount	**3**	**3**	**3**	**30**	**39**

Note 22. Financial instruments (continuation)

	Overdue				
	Less than 30 days	30 - 60 days	61 - 90 days	More than 90 days	Total
2009	$'000	$'000	$'000	$'000	$'000
Individually impaired financial assets					
Loans and advances (gross)	-	-	-	993	993
Provision for impairment	-	-	-	(211)	(211)
Carrying amount	**-**	**-**	**-**	**782**	**782**

(d) Liquidity risk

Liquidity risk refers to a situation where QRAA may encounter difficulty in meeting obligations associated with financial liabilities that are settled by delivering cash or another financial asset.

QRAA is exposed to liquidity risk in respect of its payables and borrowings from Queensland Treasury Corporation for on lending. The borrowings are based on the Queensland Government's gazetted floating rate.

QRAA manages liquidity risk through the use of a liquidity management strategy. This strategy aims to reduce the exposure to liquidity risk by ensuring QRAA has sufficient funds available to meet employee and supplier obligations as they fall due. This is achieved by ensuring that minimum levels of cash are held within the various bank accounts so as to match the expected duration of the various employee and supplier liabilities.

The following table sets out the liquidity risk of financial liabilities held by QRAA. It represents the contractual maturity of financial liabilities, calculated based on undiscounted cash flows relating to the liabilities at reporting date.

		2010 Payable in			
		<1 year	1-5 years	>5 years	Total
Financial liabilities	Note	$'000	$'000	$'000	$'000
Payables		88,388	-	-	88,388
Australian Government Borrowings		7,328	38,276	3,901	49,505
Queensland Government Borrowings		56,438	35,254	2,525	94,217
Queensland Treasury Corporation Borrowings		1,905	3,394	-	5,299
Total		**154,059**	**76,924**	**6,426**	**237,409**

		2009 Payable in			
		<1 year	1-5 years	>5 years	Total
Financial liabilities	Note	$'000	$'000	$'000	$'000
Payables		7,213	80,220	-	87,433
Australian Government Borrowings		8,821	38,316	9,213	56,350
Queensland Government Borrowings		7,684	83,837	8,012	99,533
Queensland Treasury Corporation Borrowings		1,785	5,238	-	7,023
Total		**25,503**	**207,611**	**17,225**	**250,339**

(e) Market risk

QRAA does not trade in foreign currency and is not materially exposed to commodity price changes. QRAA is exposed to interest rate risk through its borrowings from Queensland Treasury Corporation and cash deposited in interest bearing accounts. QRAA does not undertake any hedging in relation to interest risk and manages its risk as per the liquidity risk management strategy.

Note 22. Financial instruments (continuation)

(f) Interest rate sensitivity analysis

The following interest rate sensitivity analysis is based on a report similar to that provided to management, depicting the outcome on results if interest rates would change by +/- 1% from the year-end rates applicable to the department's financial assets and liabilities. With all other variables held constant, QRAA would have a surplus and equity increase/(decrease) of $3.30 million (2009: $3.55 million). This is mainly attributable to QRAA's exposure to variable interest rates on its borrowings from Queensland Treasury Corporation.

		2010 interest rate risk			
	Carrying amount	-1% Profit	-1% Equity	+1% Profit	+1% Equity
Financial Instruments	$'000	$'000	$'000	$'000	$'000
Cash and cash equivalents	101,672	(1,017)	(1,017)	1,017	1,017
Loans and advances	283,244	(2,832)	(2,832)	2,832	2,832
Australian Government Borrowings	49,505	495	495	(495)	(495)
Queensland Treasury Corporation Borrowings	5,299	53	53	(53)	(53)
Overall effect on results and equity		**(3,301)**	**(3,301)**	**3,301**	**3,301**

		2009 interest rate risk			
	Carrying amount	-1% Profit	-1% Equity	+1% Profit	+1% Equity
Financial Instruments	$'000	$'000	$'000	$'000	$'000
Cash and cash equivalents	135,608	(1,356)	(1,356)	1,356	1,356
Loans and advances	281,993	(2,820)	(2,820)	2,820	2,820
Australian Government Borrowings	55,811	558	558	(558)	(558)
Queensland Treasury Corporation Borrowings	7,023	70	70	(70)	(70)
Overall effect on results and equity		**(3,548)**	**(3,548)**	**3,548**	**3,548**

Note 23. Commitments for expenditure

(a) Finance lease liabilities

At balance date, QRAA has no commitments under finance leases.

(b) Non-cancellable operating leases

Commitments under non-cancellable operating leases at the reporting date are inclusive of anticipated GST and are payable as follows:

	2010	2009
	$'000	$'000
Not later than one year	688	721
Later than one year but not later than two years	863	156
Later than two years but not later than five years	-	1
	1,551	**878**
Input tax credits anticipated	74	41

Operating leases are entered into as a means of acquiring access to office accommodation and storage facilities. Lease payments are generally fixed, but with inflation escalation clauses on which contingent rentals are determined.

Note 23. Commitments for expenditure (continuation)

(c) Capital expenditure commitments

At balance date, QRAA has no commitments for capital expenditure.

(d) Financial assistance commitments

At balance date, QRAA has undrawn financial assistance commitments of $17.71 million. Undrawn commitments are loans and grants that have been approved but not paid to clients at balance date.

Note 24. Board members' fees

Remuneration, including meeting fees and superannuation are paid to Board members. QRAA does not reimburse Board members who are government representatives.

	2010 $'000	2009 $'000
Board members remuneration	80	70
Number of Board members receiving remuneration in the following ranges		
$1 to $9,999	5	4
$10,000 to $19,999	-	-
$20,000 to $29,999	-	-
$30,000 to $39,999	-	1
$40,000 to $49,999	1	-

The Board members of QRAA are:

Graham Davies (Chairperson)
Joy Cooper
Matthew Hood
Wayne Carlson (appointed 3 December 2009)
Sue Ryan (Government representative)
Richard Stevens
Alan Tesch (Government representative)
Annie Pfeffer (resigned 3 December 2009)

Note 25. Contingencies

QRAA did not have any contingent liabilities as at 30 June 2010.

Note 26. Events occuring after balance date

Queensland Treasury has informed QRAA that the Treasurer has approved that QRAA's liabilities with Queensland Treasury ($49.432 million) and the Department of Employment, Economic Development and Innovation ($88.220 million) be repaid. To effect this outcome, an equity injection ($137.652 million) will be advanced to QRAA through the Department of Employment, Economic Development and Innovation to enable QRAA to use these funds to repay its outstanding debt with both Queensland Treasury and the Department of Employment, Economic Development and Innovation. Repayment of the two liabilities is expected to occur in October 2010 and as a result, both of the liabilities have been re-classified from *non-current liabilities* to *current liabilities* in the Statement of Financial Position.

Certificate of QRAA

These general purpose financial statements have been prepared pursuant to section 62(1) of the *Financial Accountability Act 2009* (the Act), relevant sections of the *Financial and Performance Management Standard 2009* and other prescribed requirements. In accordance with section 62(1)(b) of the Act, we certify that in our opinion:

(a) the prescribed requirements for establishing and keeping of accounts have been complied with in all material respects; and

(b) the statements have been drawn up to present a true and fair view, in accordance with prescribed accounting standards, of the transactions of QRAA for the financial year ended 30 June 2010 and of the financial position of QRAA at the end of that year.

G R DAVIES
Chairperson

J COOPER BBus FCPA FCIS FAICD
Chairperson – Audit & Risk Management Committee

C R HOLDEN
Chief Executive Officer

P R O'DONNELL BBus FCPA
Senior Manager Finance

18 August 2010

Brisbane

Independent Auditor's report
to the Board of QRAA

Matters Relating to the Electronic Presentation of the Audited Financial Report

The audit report relates to the financial report of QRAA for the financial year ended 30 June 2010 included on QRAA's website. The Board is responsible for the integrity of QRAA's website. I have not been engaged to report on the integrity of QRAA's website. The auditor's report refers only to the statements named below. It does not provide an opinion on any other information which may have been hyperlinked to/from these statements. If users of the financial report are concerned with the inherent risks arising from electronic data communications they are advised to refer to the hard copy of the audited financial report, available from QRAA, to confirm the information included in the audited financial report presented on this website.

These matters also relate to the presentation of the audited financial report in other electronic media including CD Rom.

Report on the Financial Report

I have audited the accompanying financial report of QRAA which comprises the statement of financial position as at 30 June 2010, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year ended on that date, a summary of significant accounting policies, other explanatory notes and certificates given by the Board and officers responsible for the financial administration of QRAA.

The Board's Responsibility for the Financial Report

The Board is responsible for the preparation and fair presentation of the financial report in accordance with prescribed accounting requirements identified in the *Financial Accountability Act 2009* and the *Financial and Performance Management Standard 2009*, including compliance with Australian Accounting Standards (including the Australian Accounting Interpretations). This responsibility includes establishing and maintaining internal controls relevant to the preparation and fair presentation of the financial report that is free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditor's Responsibility

My responsibility is to express an opinion on the financial report based on the audit as prescribed in the *Auditor-General Act 2009*. This Act, including transitional provisions, came into operation on 1 July 2009 and replaced the previous requirements contained in the Financial Administration and Audit Act 1997. The audit was conducted in accordance with the *Auditor-General of Queensland Auditing Standards*, which incorporate the Australian Auditing Standards. These auditing standards require compliance with relevant ethical requirements relating to audit engagements and that the audit is planned and performed to obtain reasonable assurance whether the financial report is free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial report. The procedures selected depend on the auditor's judgement, including the assessment of risks of material misstatement in the financial report, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial report in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control, other than in expressing an opinion on compliance with prescribed requirements. An audit also includes evaluating the appropriateness of accounting policies and the reasonableness of accounting estimates made by the Board, as well as evaluating the overall presentation of the financial report including any mandatory financial reporting requirements as approved by the Treasurer for application in Queensland.

I believe that the audit evidence obtained is sufficient and appropriate to provide a basis for my audit opinion.

Independence

The *Auditor-General Act 2009* promotes the independence of the Auditor General and all authorised auditors. The Auditor-General is the auditor of all Queensland public sector entities and can only be removed by Parliament.

The Auditor-General may conduct an audit in any way considered appropriate and is not subject to direction by any person about the way in which audit powers are to be exercised. The Auditor-General has for the purposes of conducting an audit, access to all documents and property and can report to Parliament matters which in the Auditor-General's opinion are significant.

Auditor's Opinion

In accordance with section 40 of the *Auditor-General Act 2009*:

(a) I have received all the information and explanations which I have required; and

(b) in my opinion:

- (i) the prescribed requirements in respect of the establishment and keeping of accounts have been complied with in all material respects; and
- (ii) the financial report has been drawn up so as to present a true and fair view, in accordance with the prescribed accounting standards of the transactions of QRAA for the financial year 1 July 2009 to 30 June 2010 and of the financial position as at the end of that year.

A J CRANSTOUN (FCA)
Delegate of the Auditor-General of Queensland

18 August 2010
Brisbane

Addendum to QRAA's Annual Report 2009-2010

In accordance with the *Carers (Recognition) Act 2008* and principles outlined in the Carers Charter, QRAA through its statutory obligations under the *Rural and Regional Adjustment Act 1994* is not able to develop or implement services to the carers community directly.

QRAA does have internal workflow practices that allow for compliance with the Carers Charter principles including the *Queensland Rural Adjustment Authority Award 2003*, flexible working arrangements and QRAA's Leave Policy.

QRAA's Leave Policy specifically identifies Carers Leave as an endorsed leave type for employees with responsibilities in relation to either members of their immediate family or members of their household who need their care and support.

Employees are entitled to use their accumulated sick leave, or may also utilise unpaid leave, annual leave, time off in lieu, and accrued time.

Employees are made aware of QRAA's approach to workforce practices that support carers through our induction program, timesheets and staff meetings on the release of new policies.

Glossary

API

API (Australian Post-Tel Institute) are the providers of QRAA's employee benefits program offering lifestyle services and benefits, including child care and aged care referral services, insurance brokers, holiday homes and travel agency services.

Assure Employee Assistance Program (EAP)

A confidential and voluntary counselling service provided by Assure Programs that is designed to assist with the resolution of personal and work-related problems that may affect work performance or quality of life.

Government objectives for the community

The five ambitions outlined in Toward Q2: Tomorrow's Queensland are the current government objectives for the community.

Operational plan

A plan which identifies the services (projects and activities) the agency intends to deliver during the plan's timeframe (one year). It also supports the strategic plan.

Performance management framework

The performance management framework is designed to improve the quality, analysis and application of performance information to identify and address risks and opportunities for agencies, government and the community.

Right to information

The Queensland Government's approach to providing the community with appropriate access to public information with new legislation replacing the *Freedom of Information Act 1992* coming into effect on 1 July 2009.

Strategic plan

A document used by an agency to set its direction, align the agency with the government's objectives for the community and provide objectives and strategies for the agency.

Strategic priorities

The priorities identified for the agency, which are contained within the stategic plan to guide organisational performance.

Vision

Specifies what the agency hopes to become or create. A vision statement takes into account the current status of the agency and serves to point the direction of where the agency wishes to go.

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Queensland Government

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